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Course: ENT 211

Institution: Federal University of Technology, Akure

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CENTER FOR ENTREPRENEURSHIP DEVELOPMENT (CED)
CCMAS ENT 211: ENTREPRENEURSHIP AND INNOVATION
LECTURE MODULE ONE

Concept of Entrepreneurship (Entrepreneurship, Intrapreneurship/Corporate Entrepreneurship)

In the world of today, many businesses have failed (wounded-up) and many more are failing due to lack of understanding of what it takes to run a business. This necessitates proper entrepreneurship education in tertiary institutions, that is aimed at building entrepreneurship spirit in graduates, that is needed for business survival and growth.

At the end of this module, the students should be able to:

- Define the concept of entrepreneurship and intrapreneurship/ corporate entrepreneurship
- Differentiate between entrepreneurship and intrapreneurship
- Identify an entrepreneur and an intrapreneur by their characteristics.

What is Entrepreneurship?

The word entrepreneurship is derived from the French word ‘**entreprendre**’, which simply means ‘**to undertake**’. It indicates a situation in which an individual undertakes an act of some sort. It is important to state that entrepreneurship has no universal definition as many scholars have defined it differently from their own perspective. For instance, Putari (2006) observes that scholars had not been in agreement in their definitions of entrepreneurship and chronicled the definitions of entrepreneurship by various scholars.

Some definitions of entrepreneurship

- Cantillon views entrepreneurship as: “self-employment of any sort”.
- In 1934, Joseph Schumpeter equated entrepreneurship with the concept of innovation and applied it to a business context, while emphasizing the combination of resources.
- Penrose (1963) views entrepreneurship as the activity that involves identifying opportunities within the economic system.
- Leibenstein (1968, 1979) perceives entrepreneurship as involving "activities necessary to create or carry on an enterprise where not all markets are well established or clearly defined and/or in which relevant parts of the production function are not completely known”.
- Okpara (2000) defines entrepreneurship as the willingness and ability of an individual to seek out investment opportunities in an environment and be able to establish and run an enterprise successfully based on the identifiable opportunities.
- Nwachukwu (1990) regards entrepreneurship as a process of seeing and evaluating business opportunities, gathering the necessary resources to take advantage of them and initiate appropriate action to ensure success.

These definitions of entrepreneurship as given by the different scholars, lays emphasis on:

- Self-employment of any sort.
- Creation of organizations.
- Innovation applied to a business context.
- The combination of resources.
- Identification and exploitation of opportunities within the economic system or market.
- The bringing together of factors of production under uncertainty.

Therefore, it can be summarized that any activity that involves a combination of the above can be regarded as Entrepreneurship. In this sense, entrepreneurship refers to all the processes and activities involved in establishing, nurturing, and sustaining a business enterprise. It involves the exploitation of opportunities which exist within a market.

Who is an entrepreneur?

Frankly speaking, not everyone who ventures into a business, or who is self-employed is an entrepreneur. To be an entrepreneur goes beyond owning or running a business of your own. A person must possess certain qualities and must have undergone some level of training to be qualified to be addressed as an entrepreneur. Entrepreneurs are people who see opportunities even in the midst of threats.

Some definitions of entrepreneur have been given by scholars

- The entrepreneur has been defined by Hornby (1995) as the person who starts or organizes a commercial enterprise, especially one involving financial risk.
- Meredith et al., (1991) defined entrepreneurs as people who have the ability to see an evaluate business opportunities, gather the necessary resources in order to take advantage of them, and to initiate appropriate action to ensure success.
- Stevenson and Jarillo-Mossi (1986) suggest that entrepreneurs create value by combining resources to exploit an opportunity.
- Putari (2006) asserts that the entrepreneur is the agent "who unites all means of production and who finds in the value of the products ... the reestablishment of the entire capital he employs, and the value of the wages, the interest, and rent which he pays, as well as profits belonging to himself." He views entrepreneurs as change agents (Say, 1816).
- Knight (1921) views entrepreneurs as individuals who attempt to predict and act upon change within markets.
- Schumpeter (1934) conceives the entrepreneur as the innovator who implements change within markets through the carrying out of new combinations such as introduction of new techniques of production, reorganization of an industry and innovation. He further argues that the entrepreneur is an innovator, one that introduces new technologies into the workplace or market, increasing efficiency, productivity or generating new products or services (Deakins and Freel, 2009).
- In Quick MBA (2010), the entrepreneur is defined as one who combines various input factors in an innovative manner to generate value to the customer with the hope that this

value will exceed the cost of the input factors, thus generating superior returns that result in the creation of wealth.

From the forgoing, the important duty of an entrepreneur is to organize the other factors of production such as land, labour and capital, to ensure the achievement of the organization's goal. The entrepreneurs run businesses that may be micro/small, medium or even large corporations. For example, an entrepreneur can be a book seller at the university gate, a barrister who opens a law chamber, a man or woman who establishes a school or factory. Whatever the case, the entrepreneur is the boss, manager, initiator, organizer, planner, administrator, decision maker and risk taker.

As argued by Olatunla (1997), one out of every three new businesses fail during their first five years, while as high as eighty (80) percent of small businesses fail during their first five years. Consequently, an entrepreneur faces great risk and challenges, and therefore, must ensure that business ideas are properly planned, monitored and coordinated to achieve the desired goals. It is important that the goal be SMART i.e specific, measurable, achievable, realistic, and time-bound.

Intrapreneurship/corporate entrepreneurship

Not everyone who possesses entrepreneurial skill will start up as a business owner. For one reason or the other, some entrepreneurs may be employed to work in corporate organizations. Sometimes, this may be in a bid to raise business start-up capital, and/or to acquire some level of experience about a particular business before personally venturing into it. Such corporate organization employees who possess entrepreneurial skills are known as intrapreneur.

Intrapreneurship entails the development new business ideas, products, or services within an existing organization. Hence, it is also known as corporate entrepreneurship. Within the organization, intrapreneurs use their entrepreneurial skills to launch new projects or initiatives within their organization. They have the backing and resources of their company, but must navigate internal processes and approvals.

Who is an intrapreneur?

An intrapreneur is an employee of an established company who has an entrepreneurial mindset. In other words, they embrace innovation, such as thinking of new products or services that can further the company's growth objectives. An intrapreneur might spearhead a major new initiative, for example, and possibly be in charge of their own team. Virtually any type of employee could be an intrapreneur — from a salesperson to the chief financial officer (CFO). In recent times, intrapreneurship is greatly encouraged in corporate organizations through the division of employees into different teams that may also be called think-tank groups within a larger organization. These teams are granted greater autonomy to pursue their own initiatives

Entrepreneurship and Intrapreneurship

From the discussion so far, we can deduce that both entrepreneurship and intrapreneurship involve identifying opportunities, developing new ideas and bringing them to market. Both of these

professionals embrace the entrepreneurial mindset. They are constantly thinking of ways to solve real-world problems through new or improved products or services.

While there are certainly exceptions, both entrepreneurs and intrapreneurs may exhibit the following character traits and skills:

- Creativity
- Out-of-the-box thinking
- Desire to improve products or services, and solve real-world problems
- Leadership abilities
- Adaptability in an ever-changing business environment
- Passion for continuous, lifelong learning

However, there are areas of differences between an entrepreneur and an intrapreneur. These can be briefly discussed under the following headings:

Ownership and control

While entrepreneurs create and manage their own businesses, and as such operate independently, intrapreneurs innovate within the structure of an existing organization

Risk profile

The risk profiles of entrepreneurship versus intrapreneurship differ significantly. Unlike the intrapreneurs who are only employees, entrepreneurs face high personal and financial risk, as they invest their own resources and time into their ventures/business.

Compensation/reward

The potential rewards can be substantial, however, including significant financial gain and personal fulfillment. Intrapreneurs, on the other hand, face lower personal risk since they work within an established organization and typically retain their job security. While the financial rewards for intrapreneurs may be less dramatic, they can achieve professional recognition, career advancement and the satisfaction of contributing to their company's success.

Decision making

Entrepreneurs in most cases must make sole decision on issues relating to their business, including securing their own funding (often through investors, loans or personal savings) and build their support networks from scratch. They need to be resourceful and self-reliant. However, intrapreneurs benefit from the existing infrastructure, financial resources and support systems of their organization. They can leverage company resources to develop and implement their ideas but must also align their initiatives with organizational goals and navigate internal politics and processes to gain support.

Dimensions of entrepreneurship qualities

According to Gartner (1985), there are four dimensions that can be used to explain the qualities/characteristics of an entrepreneur. These include: founder's characteristics-, organizational characteristics, environmental characteristics, process/condition of establishment of the venture.

Founder's characteristics

As implied, this relates to the qualities possessed by an entrepreneur that guarantees his/her success in any business venture. A potential entrepreneur must re-examine/re-assess himself/herself to be sure that he/she possesses the capacity to undertake a business, taking into consideration the required physical, moral and emotional capacities. The following qualities can make the entrepreneur succeed in business:

Leadership – Successful entrepreneurs are successful leaders because they generate and develop ideas, gather necessary resources and set goals for business.

Risk-taking – Entrepreneurs are reasonable risk takers. They sometimes take up very difficult but surmountable challenges, by applying their skills and knowledge. The entrepreneur undertake risk to profit from it.

Originality – Successful entrepreneurs must be initiative, innovative, creative, resourceful, versatile and knowledgeable

Self-confidence – Successful entrepreneurs are self-confident and have the likeness for independence. They are people who are prepared to be accountable for their actions

Task/Result oriented – Successful entrepreneurs ensure that set goals/targets are achieved, through persistent and determined efforts, coupled with hard work.

Good Communication Skills

This basically pertains to communicate effectively. An entrepreneur who can effectively communicate with customers, employees, suppliers and creditors will be more likely to succeed than the entrepreneur who does not. An entrepreneur must have a good feedback system.

Human Skills

An entrepreneur must have good human relations. The most important personality factors contributing to the success of any entrepreneur include emotional stability, good inter- personal relations, consideration and tactfulness. An entrepreneur has to maintain good relations with his customers so as to encourage them to continue to patronize his business. He must also maintain good relations with his employees so as to motivate them to perform their jobs with a high level of efficiency.

Technical skills

An entrepreneur must have the competence and proficiency in the knowledge of the business. It is the possession of specialized knowledge and understanding in methods, processes, procedures and techniques in carrying out day-to-day activities. Examples are; coaching, organizing, monitoring environment amongst others.

Focused

In getting things done and starting and maintaining a business attention has to be paid to a lot of details. Small things when not handled properly or noticed on time may lead to disastrous outcomes.

Organizational characteristics

The organizational characteristics that must be taken into consideration includes the goals and objectives of the organization, its resources, and forms of business ownership (sole-proprietorship, partnership, limited liability company), types of business (micro, medium, large company), and the range of products/services provided. These characteristics have an important relationship with the source of finance and determine its sustainability and relevance in a competitive business environment.

Environmental characteristics

The entrepreneur must also take into consideration the environmental characteristics when starting a business. Since businesses operate within an environment, the environment will surely affect its activities. The environment must be properly scanned to overcome threats and take advantage of the opportunities therein. The scanning can be done through a SWOT analysis i.e. analyzing the strength, weakness, opportunities and threats. The macroeconomic environment must be stable and investment friendly. The changes in the socio-economic and political environment must be identified on time, so that the business can adjust as appropriate.

Process of starting a new venture

The procedures and formalities to be followed in starting a new venture/business may involve meeting some legal requirements. Depending on the form of business, this may include registration of business, certificate of incorporation etc. The entrepreneur must study and be familiar with all requirements, in order for the smooth establishment of the business.

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Compiled for ENT 211 Lecture Module One

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4th January, 2025



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LECTURE MODULE TWO

Theories, Rationale and Relevance of Entrepreneurship (Schumpeterian and other perspectives)

The operations and/or behaviour of an entrepreneur is guided by certain established theories. These theories determine the functionality of an entrepreneur, and covers the economic, social and psychological behaviour of an entrepreneur.

Understanding what drives individuals to start businesses and how they achieve success has led to the development of multiple theories. The theories offer varying perspectives on what propels Entrepreneurial success.

At the end of this module, the students should be able to:

- Understand the concept of Theories
- Explain and appraise the different theories of entrepreneurship.

Theories of Entrepreneurship

The concept of entrepreneurship was first established in the 1700s, and the meaning, approach and functionality has evolved ever since due to the development of different theories of entrepreneurship. Theories are propositions that have been tested and established to be true/valid over time. Theory forms the basis of the development and establishment of knowledge in any field of enquiry. Entrepreneurship theories are theories that offer varying perspectives on what propels Entrepreneurial success. They seek to explain and serve as a guide to the operations and functionality of entrepreneurs, they are broadly categorized into three:

- Economic
- Social
- psychological

1) Economic Theory of Entrepreneurship

This theory assumes that an entrepreneur combines resources, labour, materials and other assets together in order to make their value greater than before, and also introduce changes, innovations, creativity and a new order, in the face of unknown market conditions. Economic theories of entrepreneurship tend to understand business ventures in terms of an innovator purchasing several factors of a product at a bulk rate, and combining them for resale.

The economic theory of entrepreneurship is sub-divided into three namely; Classical theory, Neo-classical and Austrian Market Process

Classical Theory

The classical theory became developed from Britain's industrial revolution which took place in the mid-1700 and lasted until the 1830s. This theory promotes private ownership of the means of production and distribution within a capitalist economic system. This serves as motivating factor

for the development and expansion of entrepreneurship. The classical movement described the role of the entrepreneur in the context of production and distribution of goods in a competitive market place (Say, 1803).

Neo-classical Theory

The neoclassical theory describes entrepreneurs as people who identify new opportunities, reduce costs, and take business risks. It seeks to explain entrepreneurship by describing the role of entrepreneurs in identifying opportunities, reducing costs, and taking business risks. According to this theory, entrepreneurs are people who believed that economic phenomena could be relegated to instances of pure exchange, reflect an optimal ratio, and transpire in an economic system that was basically closed

Austrian Market Process (AMP)

The unanswered questions of the neo-classical movement led to a new movement which became known as the Austrian Market process (AMP). The AMP, a model influenced by Joseph Alois Schumpeter (1934) concentrated on human action in the context of an economy of knowledge. Schumpeter (1934) described entrepreneurship as a driver of market-based systems. In other words, an important function of an enterprise was to create something new which resulted in processes that served as impulses for the motion of market economy.

The Economic Theories of Entrepreneurship focus on the economic factors which help in shaping Entrepreneurial activities. Classical economists highlight the importance of the Entrepreneur as a risk-taker and an organizer. The recent economic theories, emphasize on the element of innovation and the Entrepreneur's ability to disrupt markets. This can be done by introducing newer products and processes. Schumpeter's concept of "Creative Destruction" shows how entrepreneurial innovation can lead to economic growth. It displaces old technologies and business models.

2) Sociological Entrepreneurship Theory

The Sociological Theories examine how social structures and community networks and cultures influence entrepreneurial behaviour. This point of view suggests that Entrepreneurship is not only an individual endeavour. It is shaped, or rather influenced by the social environment. Factors like family background, social status, and community support significantly impact an individual's likelihood of becoming an entrepreneur. The sociological theory of entrepreneurship embraces social culture as a driving force of entrepreneurship

3) Psychological Entrepreneurship Theories

This theory identifies traits, motives and human personality as the major factors that infuse the entrepreneurial spirit in an individual. The theory emphasizes personal characteristics that define entrepreneurship. The theory focuses on and believes that entrepreneurs have unique values and attitude towards work and life. These unique psychological traits differentiate entrepreneurs from non-entrepreneurs, and successful entrepreneurs from unsuccessful ones.

The psychological theories include:

- i. Personality trait
- ii. Need for achievement
- iii. Locus of control
- iv. Psychodynamic model
- v. Risk taking propensity

Personality Trait

Personality traits are the enduring inborn qualities or potentials of the individual that naturally make him/her an entrepreneur. These traits may include: vision, enthusiasm, optimism, flexibility, open mindedness, and versatility amongst others.

Need for achievement model

The need for achievement theory was propounded by McClelland (1961). The theory explained that human beings have a need to succeed, accomplish, excel or achieve. Entrepreneurs are usually driven by this need to achieve and excel.

Locus of control

Locus of control was first introduced by Julian Rotter in the 1950s. Rotter (1966) refers to Locus of Control as an individual's perception about the main underlying causes of events in his/her life. This theory states that there is a degree to which one believes that he/she is in control of one's destiny. Hence, entrepreneur's success is presumed to come from his/her own abilities and also support from outside.

Psycho-dynamic Model

This model was propounded by Kets de Vries. The model is concerned with how people tend to be self-employed and become successful because of their —troubled childhood. In troubled childhood, children tend to be abused, with low self-esteem, and lack of confidence. Therefore, an individual growing in such an environment does have reserved wishes towards those in control.

Some observations/criticism of Psychological Entrepreneurship Theories

1. This theory explains the behaviour of extreme category of people leaving out the rest.
2. Some people with similar background do not show innovative rebelliousness. Some tend to be criminals and/or drug addicts or alcoholics.

Other theories

4) Entrepreneurship Innovation Theory

The Innovation Theory is primarily associated with Joseph Schumpeter. It says that Entrepreneurship is fundamentally based on innovation. Entrepreneurs drive economic development by creating new products and processes. This also includes various business models that has the ability to disrupt existing markets. This theory says that the Entrepreneur's role is of an innovator. The innovator combines resources in various ways to generate value. The emphasis on innovation underscores the importance of creativity, technological advancements, and the ability to foresee market trends in entrepreneurial success.

5) Cultural Theory

The Cultural Theories of Entrepreneurship look after how cultural values, beliefs, and practices build Entrepreneurial activities. Different cultures foster varying levels of entrepreneurial spirit based on their attitudes toward risk, innovation, and individualism.

For example, cultures that value independence and reward innovation are more likely to produce successful Entrepreneurs. Hofstede's cultural dimensions theory is often used to analyze how cultural differences influence entrepreneurial behaviour across different societies.

6) Resource-based Theory

The Resource-based Theory emphasizes the importance of access to resources in the success of entrepreneurial ventures. This theory suggests that Entrepreneurs with unique resources or capabilities, such as financial capital, human talent, or proprietary technology, have a competitive advantage in the marketplace.

The ability to acquire, manage, and leverage these resources effectively is crucial for creating and sustaining a successful business. Resource-based theory highlights the strategic role of resource allocation and management in Entrepreneurship.

7) Effectuation Theory

The Effectuation Theory was developed by Saras Sarasvathy. It focuses on the decision making processes of Entrepreneurs. Unlike traditional workings that stresses on predictive planning. This theory speaks about Entrepreneurs starting with available means and continuously adjust their goals according to emerging opportunities and constraints.

This theory stresses on the importance of adaptability, experimentation, and using existing resources to achieve entrepreneurial success. Effectuation highlights the dynamic and iterative nature of the entrepreneurial process.

8) Social Network Theory

The Social Network Theory examines the role of social relationships and networks in entrepreneurial activities. Entrepreneurs rely on their networks. These networks are used for accessing information, resources, and support. Strong social ties can provide valuable mentorship, funding opportunities, and business partnerships.

Weak ties, on the other hand, can offer new perspectives and connections to diverse networks. Understanding the structure and dynamics of social networks helps Entrepreneurs build and leverage their connections to enhance their chances of success.

9) Human Capital Theory

The Human Capital Theory focuses on the importance of individual skills, knowledge, and experience in Entrepreneurship. Entrepreneurs with higher levels of education, industry experience, and specific competencies are more likely to identify and exploit business opportunities successfully.

Investing in human capital, through education and training, enhances an entrepreneur's ability to innovate, adapt, and grow their business. This theory underscores the critical role of continuous learning and skill development in entrepreneurial success.

10) Institutional Theory

The Institutional Theory explores how formal and informal institutions, such as laws, regulations, norms, and values, influence entrepreneurial activities. The institutional environment can either facilitate or hinder Entrepreneurship. Supportive institutions, such as robust legal frameworks, property rights, and access to finance, create a conducive environment for entrepreneurial ventures. Conversely, bureaucratic red tape, corruption, and restrictive policies can stifle entrepreneurial initiatives. Understanding the institutional context is essential for fostering a favourable ecosystem for Entrepreneurship.

11) The Knowledge Spillover Theory

The Knowledge Spillover Theory of Entrepreneurship suggests that new knowledge and innovations often spill over from established firms, research institutions, or other sources, creating opportunities for new ventures. Entrepreneurs capitalize on these spillovers by commercializing new ideas and technologies.

This theory focuses on the importance of knowledge transfer, collaboration, and proximity to innovation hubs in driving entrepreneurial activity. It underscores the role of research and development, education, and knowledge networks in fostering a vibrant entrepreneurial ecosystem.

12) The Profit Theory

The Profit Theory focuses on the role of profit as a driving force in Entrepreneurship. According to this theory, Entrepreneurs are motivated by the potential for profit, which serves as a reward for taking risks and innovating. Profit maximization is seen as the primary goal of entrepreneurial ventures. This theory underscores the importance of financial incentives and market opportunities in motivating entrepreneurial behaviour and sustaining business growth.

13) The Opportunity Theory

The Opportunity Theory posits that Entrepreneurship arises from the recognition and exploitation of opportunities. Entrepreneurs are alert individuals who can identify gaps in the market, unmet needs, or emerging trends. The ability to perceive and act on opportunities is a defining characteristic of successful Entrepreneurs. This theory highlights the importance of, opportunity recognition, and strategic planning in the entrepreneurial process.

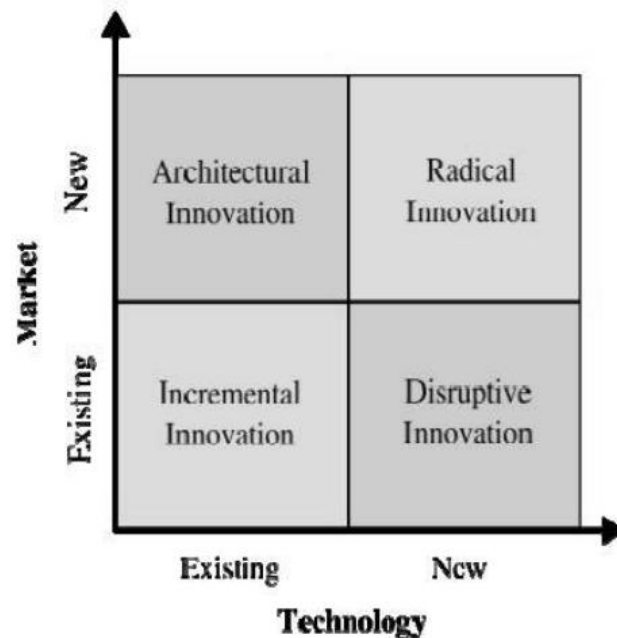
14) The Ownership Theory

The Ownership Theory, also known as property rights theory, examines the relationship between ownership structures and entrepreneurial outcomes. This theory suggests that clear and secure ownership rights are crucial for fostering Entrepreneurship. When Entrepreneurs have confidence in their property rights, they are more likely to invest in their ventures, innovate, and take risks. The theory emphasizes the role of legal and institutional frameworks in protecting property rights and promoting entrepreneurial activity.

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Innovation has two dimensions which include: **Technology and Market**. These dimensions give rise to 4 types of innovation



Incremental Innovation

Incremental Innovation is the most common form of innovation. It utilizes your existing technology and increases value to the customer (features, design changes, etc.) within your existing market. Almost all companies engage in incremental innovation in one form or another. Examples include adding new features to existing products or services or even removing features (value through simplification). Even small updates to user experience can add value,

Disruptive Innovation

Disruptive innovation, also known as stealth innovation, involves applying new technology or processes to your company's current market. It is stealthy in nature since newer tech will often be inferior to existing market technology. This newer technology is often more expensive, has fewer features, is harder to use, and is not as aesthetically pleasing. It is only after a few iterations that the newer tech surpasses the old and disrupts all existing companies. By then, it might be too late for the established companies to quickly compete with the newer technology.

There are quite a few examples of disruptive innovation, one of the more prominent being Apple's iPhone disruption of the mobile phone market. Prior to the iPhone, most popular phones relied on buttons, keypads or scroll wheels for user input. The iPhone was the result of a technological

movement that was years in making, mostly iterated by Palm Treo phones and personal digital assistants (PDAs). Frequently you will find that it is not the first mover who ends up disrupting the existing market. In order to disrupt the mobile phone market, Apple had to cobble together an amazing touch screen that had a simple to use interface, and provide users access to a large assortment of built-in and third-party mobile applications.

Architectural Innovation

Architectural innovation is simply taking the lessons, skills and overall technology and applying them within a different market. This innovation is amazing at increasing new customers as long as the new market is receptive. Most of the time, the risk involved in architectural innovation is low due to the reliance and reintroduction of proven technology. Though most of the time it requires tweaking to match the requirements of the new market. In 1966, NASA's Ames Research Center attempted to improve the safety of aircraft cushions. They succeeded by creating a new type of foam, which reacts to the pressure applied to it, yet magically forms back to its original shape. Originally it was commercially marketed as medical equipment table pads and sports equipment, before having larger success as use in mattresses. This "slow spring back foam" technology falls under architectural innovation. It is commonly known as memory foam.

Radical innovation

Radical innovation is what we think of mostly when considering innovation. It gives birth to new industries (or swallows existing ones) and involves creating revolutionary technology. The airplane, for example, was not the first mode of transportation, but it is revolutionary as it allowed commercialized air travel to develop and prosper. The four different types of innovation mentioned here – Incremental, Disruptive, Architectural and Radical – help illustrate the various ways that companies can innovate. There are more ways to innovate than these four. The important thing is to find the type(s) that suit your business/company and turn those into success

Innovation Theory of Entrepreneurship

The innovation theory was first advocated by Joseph Schumpeter in 1934, while a dynamic theory of entrepreneurship was first advocated by Schumpeter in 1949. Joseph Schumpeter considered entrepreneurship as the catalyst that disrupts the stationary circular flow of the economy and thereby initiates and sustains the process of development.

Schumpeter introduced the concept of innovation as key factor in entrepreneurship in addition to assuming risks and organizing factors of production. Schumpeter defined entrepreneurship as —a creative activity. An innovator who brings new products or services into economy is given the status of an entrepreneur. He regards innovation as a tool of an entrepreneur. The entrepreneur is also viewed as the engine of growth which sees the opportunity for introducing new products, new markets, new sources of supply, new forms of industrial organization or for the development of newly discovered resources.

Functions of Innovation

The concept of innovation and its corollary development embraces five functions:

- i. The introduction of a new product with which consumers are not yet familiar or introduction of a new quality of an existing product,

- ii. ii. The introduction of new method of production that is not yet tested by experience in the branch of manufacture concerned, which need by no means be founded uponThe opening of new market that is a market on to which the particular branch of manufacturer of the country in question has not previously entered, whether or not this market has existed before,
- iii. Conquest of a new source of supply of raw material
- iv. The carrying out of the new organization of any industry.

Schumpeter is the first major theorist to put the human agent at the centre of the process of economic development. He is very explicit about the economic function of the entrepreneur. The entrepreneur is the prime mover in economic development; his function, to innovate or carry out new combinations. Schumpeter makes a distinction between an innovator and an inventor. An inventor discovers new methods and new materials.

On the contrary, an innovator is one who utilizes or applies inventions and discoveries in order to make new combinations. An inventor is concerned with his technical work of invention whereas an entrepreneur converts the technical work into economic performance. An innovator is more than an inventor because he does not only originate as the inventor does but goes much farther in exploiting the invention commercially.

Wilken added that the concept of the changes that an entrepreneur brings which includes:

- i. Expansion of goods, products.
- ii. Productivity of factors of production such as finance, labour, material.
- iii. Innovation in production such as, technology, process changes and increase in human resource productivity.
- iv. Innovation in marketing area such as the composition of the market, size of the market and new markets. According to Schumpeter, entrepreneurs are individuals motivated by a will for power; their special characteristic being an inherent capacity to select correct answers, energy, will and mind to overcome fixed talents of thoughts, and a capacity to withstand social opposition. The entrepreneur has been the major mover for economic development process.

Criticism of Innovation Theory

- i. The theory seems one-sided as it puts too much emphasis on innovative functions.
- ii. It ignores the risk taking and organizing aspects of entrepreneurship. An entrepreneur has not only to innovate but also assemble the resources and put them to optimum use.
- iii. ignored the risk-taking function, which is equally important. When an entrepreneur develops a new combination of factors of production, there is enough risk involved.

Observations from the Innovation Theory

The theory supports the —enterprising spirit of entrepreneur to innovate. It is the act that endows resources with a new capacity to create wealth. Drucker says, innovation creates a resource and it is endowed with economic value. Schumpeter 's views are particularly applicable to developing countries where innovations need to be encouraged. The innovation theory was propounded by Joseph Schumpeter who is regarded as father of innovation. The

innovation theory looks at concept of innovation as key factor in entrepreneurship in addition to assuming risks and organizing factors of production. The functions of innovation theory were described and criticism of the theory was also discussed as one of it is that it ignored the risktaking function. Observations from the theory were taken into cognizance. • Financing Innovation and New Ventures • Change management • Technical Change and management of Innovation

Class-Assessment Exercise

1. In what ways can an entrepreneur apply the theories of innovation in managing business?
2. How does innovation differ from invention?
3. Differentiate the different types of innovations

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Compiled for ENT 211 Lecture Module Three

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23th January, 2025



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CENTER FOR ENTREPRENEURSHIP DEVELOPMENT (CED)
CCMAS ENT 211: ENTREPRENEURSHIP AND INNOVATION
LECTURE MODULE FOUR

Risk Taking, Necessity and Opportunity-based Entrepreneurship and Creative Destruction

What is Risk Taking in Entrepreneurship?

Risk taking is one of the greatest qualities that distinguishes an entrepreneur. Great entrepreneurs take calculated risk by investing time, money, effort and other resources in businesses or ventures with uncertain outcomes. This means that the entrepreneur faces the risk of potential loss if events don't turn out favourable.

Risk taking in entrepreneurship refers to the willingness and ability of entrepreneurs to make decisions and take actions that involve uncertainty, potential loss, and the possibility of failure. It involves analyzing potential risks, assessing their potential impact, and taking calculated risks that offer a favorable risk-reward ratio - After-all, most potential opportunities have an element of risk when they're pursued.

Types of Risk in Entrepreneurship

As an entrepreneur, it's important that you're prepared, knowledgeable and don't take on risk blindly. Every risk you take should be carefully assessed, this way, you'll be able to objectively calculate the type and level of risk involved to ensure the return on investment (ROI) is worth the effort and potential outcome of failure.

Financial Risk

Financial risk is a common type of risk faced by entrepreneurs, that involves the potential loss of investment or financial resources due to business failures, market fluctuations, or unforeseen circumstances.

Market Risk

Market risk relates to the uncertainties associated with the demand for a product or service in the market. Entrepreneurs must assess market conditions, consumer preferences, competitive landscape, and potential changes that could impact their business. Staying informed about market trends, conducting market research, and adapting strategies accordingly can help manage market risks.

Operational Risk

Operational risk pertains to challenges and uncertainties encountered in day-to-day business operations. It includes risks such as supply chain disruptions, production issues, regulatory

compliance, talent acquisition and retention, and technological failures. Entrepreneurs must identify and mitigate operational risks to ensure smooth business operations.

Reputational Risk

Reputational risk involves the potential harm to a company's brand or image due to negative publicity, poor customer experiences, unethical behavior, legal issues, or product failures. Entrepreneurs must be conscious of their actions, maintain transparency, and prioritize customer satisfaction to mitigate reputational risks. Building a strong brand, delivering quality products or services, and actively managing customer relationships are key to minimizing reputational risks.

Business Risk

A business which takes too high of a risk when launching a new product or entering into a new market can potentially jeopardize its own existence if over-leveraged. This means that its own employees may even lose their jobs, which would ultimately affect their own families and lives. Therefore, it's important that taking risks in business is considered carefully.

Importance of Risk Taking in Entrepreneurship

To grow your business, you'll have to take some level of risk. The importance of taking calculated risk includes:

1. Learning and Adaptability

Risk-taking in entrepreneurship provides valuable learning experiences. Even if a venture does not succeed, the lessons learned from taking risks contribute to personal growth and professional development. Risk takers develop resilience, adaptability, and problem-solving skills, which are essential for navigating the challenges of entrepreneurship and seizing future opportunities. By embracing risk, entrepreneurs learn to manage uncertainty, make informed decisions, and adjust their strategies based on market feedback and changing circumstances.

2. Gaining Competitive Advantage

Entrepreneurs who take calculated risks often gain a competitive edge in the market. By identifying and pursuing opportunities that others may overlook or consider too risky. Risk taking allows entrepreneurs to seize new markets, explore untapped niches, and position their businesses uniquely, giving them a competitive advantage and increasing their chances of long-term success.

3. Overcoming the Fear of Failure

Fear of failure (FOF) is a common psychological barrier for entrepreneurs. However, taking risks allows entrepreneurs to confront and overcome this fear. By acknowledging that failure is a possibility, entrepreneurs can adopt a growth mindset and view failures as valuable learning experiences rather than insurmountable obstacles. Risk taking helps entrepreneurs build resilience, persistence, and the ability to bounce back from setbacks, which are vital qualities for long-term success. Those with a greater FOF will perceive entrepreneurship as demanding and with great risks faced in the entrepreneurial process, they will choose not to start a business.

4. Driving Innovation and Growth

Risk taking is essential for driving innovation and fostering business growth. Entrepreneurs who are willing to take educated business risks often pursue new ideas, challenge conventional thinking, and disrupt existing markets. By embracing uncertainty and experimenting with novel approaches, entrepreneurs can introduce innovative products, services, and business models that resonate with customers and propel their ventures to success.

Examples Risk-Taking Entrepreneur

(A) Nigeria

Aliko Dangote

He is a successful entrepreneur who took great risk of investing huge funds in different business, some of which include: export, import, manufacturing, real estate and philanthropy. The chains of business is built into what is became known as the Dangote Group, which imports sugar, rice, fish, and cement, fertilizer and building materials. While it exports cotton, cocoa, cashew nuts, sesame seed, ginger and gum.

Mike Adenuga Junior

This entrepreneur has business in various industries such as banking, oil and telecommunications. He owns the Consolidated Oil Company, which is the first indigenous company to strike crude in December 1991. Consolidated Oil Company is into crude oil drilling, refining and marketing. He also owns the Equatorial Trust Bank and created one of the main telecommunications companies in Nigeria (Globacom), against all odds. Globacom Limited was created after he failed to penetrate the telecommunications industry in 1999 with his first telecommunications company. This entrepreneur was able to achieve these entrepreneurial successes because he has a unique flair for risks and tenacity of purpose.

(B) Other Countries

Elon Musk

Elon Musk, the visionary founder of Tesla, SpaceX, and other ventures, is renowned for his risk-taking mentality. Musk has consistently taken on high-risk ventures, investing billions of dollars into industries such as electric vehicles and space exploration. Despite facing numerous challenges and skeptics, Musk's risk-taking approach has led to significant advancements in both industries, establishing him as a prominent figure in the entrepreneurial world.

Jeff Bezos

Jeff Bezos, the founder of Amazon, is known for his bold and risk-taking strategies. In the early days of Amazon, Bezos expanded the company's offerings from books to a wide range of products, despite doubts about the profitability of online retail. This risk paid off, and Amazon became a dominant force in e-commerce, revolutionizing the retail industry.

Conclusion

In conclusion, entrepreneurs should take risks, but that doesn't mean they should be careless risk-takers. Instead, entrepreneurship involves embracing uncertainty, making calculated decisions, and taking bold actions to drive innovation, gain a competitive advantage, and foster personal growth

Necessity-based and Opportunity-based Entrepreneurship

The Global Entrepreneurship Monitor (GEM) project identifies two types of entrepreneurship activities which are: necessity and opportunity entrepreneurship. These activities are used to distinguish between the two basic types of entrepreneurs as we have them today.

Necessity-based Entrepreneurship

This is the type of entrepreneurship in which individuals start businesses primarily due to a pressing need, like unemployment or lack of available options in their community, often leading to more survival-oriented ventures. Such individuals who are initially unemployed before starting businesses are referred to as necessity entrepreneurs. In most cases, they are driven by immediate needs and may be more likely to take risks to secure a livelihood, even if the opportunities are less than ideal.

Opportunity-based entrepreneurship

This is the type of entrepreneurship in which the potential entrepreneur has other job options but participate in entrepreneurship because they can increase their income. Such entrepreneur are individuals who are wage/salary workers, enrolled in school or college, or are not actively seeking a job before starting businesses.

When entrepreneurs identify potential market gaps or new trends and actively pursue them to create innovative businesses with significant growth potential, they are referred to as opportunity-based entrepreneurs. By identifying new market opportunities, these entrepreneurs can take calculated risks to develop innovative products or services that disrupt existing industries, leading to creative destruction.

What is Creative Destruction?

Coined by the Austrian economist Joseph Schumpeter in his work "Capitalism, Socialism, and Democracy" (1942), the term "creative destruction" refers to the process by which old industries and technologies are replaced by new ones, through entrepreneurship activities of creating, developing, and scaling new businesses. It's the idea that, in order for an economy to grow and evolve, outdated businesses and practices must be dismantled to make way for innovative and efficient alternatives.

Entrepreneurship and Creative Destruction

So, how do creative destruction and entrepreneurship work together? The answer lies in the cycle of innovation:

1. **Destruction of the Old:** As industries age, inefficiencies arise. Technologies become obsolete, and consumer demands shift. This creates vulnerabilities and opportunities for disruption.
2. **Birth of the New:** Entrepreneurs, sensing these vulnerabilities, introduce innovative solutions. These new businesses challenge the status quo, often leveraging newer technologies and models.
3. **Economic Growth:** As these new businesses thrive, they contribute to economic growth. They create jobs, increase productivity, and introduce new products and services that benefit consumers.
4. **Repeat:** Over time, even these new businesses become susceptible to disruption, and the cycle continues.

Theories of Creative Destruction

The interplay between creative destruction and entrepreneurship, as described in the text, can be connected to several academic theories and concepts from the fields of economics, business, and innovation studies. Here are some of the most relevant theories:

1. **Schumpeterian Growth Theory:** This theory is rooted in the works of Joseph Schumpeter, who introduced the concept of “creative destruction.” Schumpeter posited that economic growth in capitalist systems is driven by innovations, which often render older technologies or products obsolete. Entrepreneurs play a central role in this process by introducing these innovations.
2. **Resource-Based View (RBV) of the Firm:** This theory suggests that firms possess certain unique resources and capabilities that give them a competitive advantage. Over time, as the external environment changes, some of these resources may become obsolete, necessitating innovation and entrepreneurial activity to maintain or regain a competitive edge.
3. **Disruptive Innovation Theory:** Introduced by Clayton Christensen, this theory explains how simpler, cheaper innovations can eventually overtake and disrupt established market leaders. This aligns with the idea of entrepreneurs identifying vulnerabilities in the market and introducing novel solutions.
4. **Endogenous Growth Theory:** Proposed by economists like Paul Romer and Robert Lucas, this theory emphasizes the internal factors of an economy, like technological innovation and human capital, as drivers of growth. It underscores the importance of entrepreneurship and innovation in long-term economic development.
5. **Institutional Theory:** This theory looks at how institutional environments (like regulations, norms, and cultural beliefs) influence organizational behavior. In the context of the text, it can be related to how conducive environments foster innovation and entrepreneurial activity.

6. **Network Theory:** This theory emphasizes the importance of networks and connections in the diffusion of innovations. Entrepreneurs often leverage their networks to gain resources, knowledge, and market access, which can be crucial for the success of their innovative ventures.
7. **Theory of Entrepreneurial Opportunities:** This theory suggests that opportunities for entrepreneurship arise from discrepancies between current and potential resource allocations. Entrepreneurs recognize and exploit these opportunities, leading to economic growth and transformation.
8. **Evolutionary Economics:** Rooted in the works of economists like Richard Nelson and Sidney Winter, this theory views the economy as an evolving system. Firms and technologies undergo a process of variation, selection, and retention, similar to biological evolution. Creative destruction is a natural outcome of this process.

These theories, among others, provide a robust academic foundation for understanding the dynamic relationship between creative destruction and entrepreneurship and their collective impact on economic development.

Conclusion

Creative destruction and entrepreneurship together drive innovation, foster growth, and ensure that economies remain dynamic and resilient in the face of change. Embracing these forces is key to building a prosperous and sustainable future. Over the next decade, the interplay between creative destruction and entrepreneurship is poised to reshape global industries.

Key destructions include

1. **Sustainability Drive:** The urgency of climate change will propel green entrepreneurship, challenging industries reliant on non-renewable resources.
2. **Blockchain's Disruption:** Traditional centralized systems, especially in finance and supply chains, will face disruption from blockchain's transparent and decentralized nature.
3. **Healthcare Evolution:** The pandemic's aftermath will accelerate health tech innovations, revolutionizing traditional healthcare models.
4. **AI's Double-Edged Sword:** While AI and automation will birth new industries, they may also diminish certain job sectors, necessitating innovative workforce solutions.
5. **Space's New Frontier:** The burgeoning space economy, led by companies like SpaceX, will introduce entrepreneurial opportunities in space tourism and exploration.

In conclusion, the coming decade up to the 2030s promises a whirlwind of change driven by creative destruction and entrepreneurial innovation. While challenges await, these shifts also herald opportunities for growth, adaptation, and global advancement. The future landscape will be shaped by those who embrace change and harness the power of innovation.

Key characteristics of reflective thinking:

Self-Awareness: Entrepreneurs reflect on their thought processes and decision-making patterns.

Learning from Experience: They analyze past successes and failures to extract valuable lessons.

Continuous Improvement: Reflective thinkers are committed to ongoing learning and development.

Importance of reflective thinking in entrepreneurship:

Enhanced Decision Making: By reflecting on previous choices, entrepreneurs can make more informed decisions in the future.

Resilience: Reflective thinking helps entrepreneurs cope with setbacks by framing them as learning opportunities rather than failures.

Empathy Development: Understanding diverse perspectives through reflection can enhance customer relations and team dynamics.

3. Creative Thinking

Creative thinking is the ability to generate novel ideas and solutions by thinking outside conventional frameworks.

Key characteristics of creative thinking:

Divergent Thinking: Entrepreneurs explore multiple solutions to a problem rather than settling for the first idea that comes to mind.

Innovation Orientation: They are driven by a desire to innovate and improve existing products or processes.

Flexibility in Thought: Creative thinkers adapt their approaches based on changing circumstances or new insights.

Importance of creative thinking in entrepreneurship:

Opportunity Recognition: Creative thinkers can identify unique market opportunities that others may overlook.

Product Development: Innovative ideas lead to the creation of new products or services that meet consumer needs effectively.

Competitive Advantage: Businesses that foster creative thinking are often better positioned to differentiate themselves from competitors.

Interrelationship Among Critical, Reflective, and Creative Thinking

The three types of thinking are interconnected and collectively contribute to successful entrepreneurial practices:

- i. Critical Thinking Enhances Creativity: By evaluating existing ideas critically, entrepreneurs can refine their creative processes and develop more viable solutions.
- ii. Reflective Thinking Supports Critical Analysis: Reflecting on past experiences enhances critical thinking skills by providing context for decision making and problem solving.
- iii. Creative Thinking Fuels Reflection: Engaging in creative exercises encourages entrepreneurs to reflect on their assumptions and explore new possibilities.

Entrepreneurial thinking is a multifaceted approach that combines critical, reflective, and creative thinking. Each component plays a vital role in navigating the complexities of entrepreneurship. By fostering these types of thinking, aspiring entrepreneurs can enhance their problem-solving abilities, make informed decisions, and drive innovation within their ventures. Emphasizing these cognitive skills will prepare them for the challenges of the entrepreneurial journey and empower them to create impactful businesses.

In conclusion, the coming decade up to the 2030s promises a whirlwind of change driven by creative destruction and entrepreneurial innovation. While challenges await, these shifts also herald opportunities for growth, adaptation, and global advancement. The future landscape will be shaped by those who embrace change and harness the power of innovation.

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Compiled for ENT 211 Lecture Module Five Part B

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6th February, 2025



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LECTURE MODULE SIX

Entrepreneurship in Nigeria (Biography of Inspiration Entrepreneur, Entrepreneurship Support Institution, Youth Enterprise Networks, and Environmental and Cultural Barrier to Entrepreneurship)

Entrepreneurship development in Nigeria?

The origins of entrepreneurship in Nigeria can be traced back to the pre-colonial era. During this time, trade was the dominant economic activity, and entrepreneurs played a vital role in facilitating commerce between different communities and regions. These entrepreneurs were known as middlemen and were responsible for buying goods from one location and selling them in another. They created a network of trade that spanned the entire country, contributing to the growth and development of the Nigerian economy.

The arrival of colonialism in Nigeria led to a new dimension in entrepreneurship. The British colonial government introduced a cash economy, which created opportunities for entrepreneurs who focused on importing and exporting goods. These entrepreneurs took advantage of Nigeria's vast natural resources, exporting commodities such as palm oil, groundnuts, and cocoa. The cash economy also led to the emergence of a new class of entrepreneurs who operated in the formal sector of the economy. These entrepreneurs set up businesses in various sectors, including manufacturing, transportation, and services.

Nigeria's entrepreneurial landscape is as diverse as it is dynamic. It is characterized by a mix of traditional businesses and innovative startups, spanning sectors from agriculture to fintech. The country's large population and growing middle class present a vast market for these businesses. However, the landscape is not without its challenges. Infrastructure deficits, regulatory complexities, and limited access to capital often pose hurdles for entrepreneurs. Yet, these challenges are also driving innovation, with entrepreneurs finding unique solutions to local problems.

The entrepreneurial spirit in Nigeria is further fueled by a cultural shift. More Nigerians are embracing entrepreneurship as a viable career path, driven by the desire for economic independence and the opportunity to make a difference. This shift is transforming the entrepreneurial landscape, paving the way for a new generation of Nigerian businesses.

Entrepreneurship in the post-independent Nigeria

Many sectors of the Nigerian business system were highly restricted and regulated by government from the period of independence until late 1990s. During this era, private participation in core sectors of the economy such as banking, telecommunication, air transportation, television and radio broadcasting etc. were greatly limited and strictly controlled. Today, however, government

has deregulated and opened up the economy for more involvement, participation and investment by private entrepreneurs. In addition, since independence, present and past governments have initiated many schemes and programmes aimed at encouraging entrepreneurship development in the country. Onah (2004) summarized the programmes and schemes as follows;

- a. The Small-Scale Industries Scheme (SCIS) of 1970s.
- b. The Nigeria Bank for Commerce and Industry (NBCL) Loan scheme
- c. The special fund for small scale enterprises loan scheme of 1980
- d. The National Economic Reconstruction Fund (SMEIS) 2001 to date.
- e. Small and Medium Equity Investment Scheme (SMEIS) 2010 to date
- f. The Small and Medium Enterprises Development Agency of Nigeria.

In addition, there are other agencies which are established to encourage entrepreneurship development in Nigeria, they include the Bank of Industry (BOI), National Directorate for Employment (NDE), National Agency for Poverty Eradication Programme (NAPEP), National Economic Empowerment Development Strategies (NEEDS) etc. with all these schemes, much has been achieved. The purpose is to promote the expansion of the economy through a free enterprise system in which businesses are organized, owned, operated, and controlled by private individuals who have the right to a profit (or must suffer the loss) from operations.

Key drivers of entrepreneurship in Nigeria

Several factors are driving the rise and development of entrepreneurship in Nigeria. Some of these factors include:

- Youthful demographic driving innovation
- Role of entrepreneurship in job creation
- Digital revolution and increased internet penetration
- Cultural shift towards entrepreneurship
- Success stories of Nigerian startups attracting attention

Challenges of entrepreneurship development in Nigeria

A number of challenges have been identified to be facing entrepreneurship development in Nigeria. Some major of these challenges includes:

- Poor Government Infrastructure
- Multiple Taxation
- Inadequate capital
- Incompetent management
- Unfavorable government Policy
- Lack of access to credit facilities and technology
- Skill Acquisition

Ndubuisi (2004) stated that apart from the known problems that have been earlier, other challenges include the following;

- i. Arbitrary changes in the administration of law by the government which spreads the element of uncertainty among the entrepreneurs.
- ii. Lack of insufficient infrastructure and high cost of production.
- iii. Market imperfections, which deny potential entrepreneurs the resources, they need for organizing new entrepreneurs.
- iv. High risk involved in new enterprise.
- v. Law status of business in the eyes of the public and
- vi. Restrictive effects of customs and traditions.

Despite these challenges, many have found success. The entrepreneurial spirit in Nigeria remains strong. The country's entrepreneurs are not just surviving, they are thriving, creating innovative solutions to local problems and contributing to the nation's economic development.

Today, entrepreneurship is a thriving sector of the Nigerian economy, with a growing number of startups and SMEs contributing to economic growth and development. The government continues to introduce policies aimed at promoting entrepreneurship and creating a conducive environment for businesses to thrive. The Nigerian government launched the National Entrepreneurship Policy in 2015, which aims to create an enabling environment for entrepreneurship to thrive. The policy seeks to promote entrepreneurship education, access to finance, innovation, and technology.

Biography of successful entrepreneurs in Nigeria

Nigeria is not only blessed with abundant natural resources, but also with abundance of human resources from different regions/parts of the country. These great personalities have made significant/remarkable achievements in business over the years

1. Aliko Dangote.



With a net worth of over \$12billion in 2018, Aliko Dangote is the richest man in Nigeria and entire Africa. Born on the 10th of April 1957, Aliko Dangote is the owner of the 'Dangote Group,' the largest cement and sugar producer in Africa. Presently, his company dominates the markets in countries such as Benin, Ethiopia, Cameroon, South Africa, and Ghana among others. The

Dangote Group controls about 70% of the current Nigerian sugar market and operates as the third-largest sugar refinery in the world and the largest in Africa.

2. Mike Adenuga Jr.



Michael Adeniyi Adenuga (born 29th of April 1953) is a Nigerian billionaire businessman and the second richest man in Nigeria. According to the recently released Forbes list in 2018, Mike Adenuga's net worth as of 11th March 2018 was estimated to be \$4.2 billion and he is the third richest person in Africa. Adenuga, Nigeria's second richest man, built his fortune in telecom and oil production. His mobile phone network, Globacom, is the second largest operator in Nigeria, with 37 million subscribers. His oil exploration outfit, Conoil Production, operates 6 oil blocks in the Niger Delta.

3. Femi Otedola.



Femi Otedola (born November 4, 1962) is a Nigerian businessman, entrepreneur, philanthropist, and chairman of Forte Oil Plc, an importer of fuel products. Femi Otedola is the son of the former Lagos State Governor, Michael Otedola. According to Forbes, his net-worth in 2016 was estimated to be \$1.8 billion. Otedola is also the founder of Zenon Petroleum and Gas Ltd, and the owner of a number of other businesses across shipping, real estate, and finance. He has recently invested in power generation as part of the liberalization of the sector in Nigeria.

4. Folorunso Alakija.

Folorunso Alakija (born 15 of July 1951) is a Nigerian billionaire businesswoman, one of the richest African women, and one of the richest black women in the world. In 2014, she temporarily unseated Oprah Winfrey as the richest woman of African descent in the world. According to Forbes, her net-worth as of 11th March 2018 was estimated to be \$1.7 billion. Folorunsho Alakija is vice chair of Fanfa Oil, a Nigerian oil exploration company with a stake in Agbami Oilfield, a prolific offshore asset. Famfa Oil's partners include Chevron and Petrobras. Alakija's first company was a fashion label whose customers included the wife of former Nigerian president Ibrahim Babangida.

5. Abdul Samad Rabi.

Abdul Samad Isyaku Rabi (born 4 August 1960) is a Nigerian businessman and the founder of BUA Group, a Nigerian conglomerate active in sugar refining, cement production, real estate, logistics, and port operations. According to Forbes, his net-worth in 2016 was estimated to be \$1.1 billion. In January 2016, BUA Group agreed to sell its flour milling and pasta making businesses to Olam Group of Singapore for \$275 million. Rabi, the son of a businessman, inherited land from his father. He started his own business in 1988. importing rice, sugar and edible oils as well as iron and steel rods.

6. Tony Elumelu.

Tony Onyemaechi Elumelu (born 22 March 1963) is a Nigerian economist, entrepreneur, and philanthropist. He is the chairman of Heirs Holdings, the United Bank for Africa, Transcorp and founder of The Tony Elumelu Foundation. According to Forbes, his net-worth in 2015 was estimated to be \$0.7 billion. Tony Elumelu came into the limelight in 1997 when he led a small group of investors to take over a small, floundering commercial bank in Lagos. He was recognized as one of “Africa’s 20 Most successful entrepreneurs

7. Orji Uzor Kalu.

Orji Uzor Kalu (born April 21, 1960) is the chairman of SLOK Holding and the former governor of Abia State. His other investments include the Daily Sun and the New Telegraph newspapers. According to Forbes, his net-worth in 2015 was estimated to be \$330 million. Orji Uzor Kalu’s Slok Holding is a West African conglomerate with interests in shipping, banking, oil trading, manufacturing, and the media. He got his start in business at age 19.

8. Jim Ovia.

Jim James Ovia (born November 4, 1951) is a Nigerian businessman and founder of Zenith Bank one of the largest commercial banks in Nigeria. He is the chairman and largest individual shareholder with a stake of slightly more than 9% stake. According to Forbes, his net-worth in 2015 was estimated to be \$550 million. He also owns prime real estate across Nigeria, and mobile telecom operator Visafone Communications Limited which has since been acquired by MTN.

Some young entrepreneurs in Nigeria to look out for in 2025

Tara Fela-Durotoye



A prominent entrepreneur who started the cosmetics brand, House of Tara. Her story is an inspiration to many aspiring female entrepreneurs.

Tiwalola Olanubi Jnr.



Tiwalola Olanubi is the founder of Dotts Media House, one of Africa's leading digital marketing agencies. Being enthusiastic about youth development and entrepreneurship, he quotes: "The best thing that can happen to any entrepreneur is to start chasing their dreams as early as possible. My advice is to start early as soon as that idea gets into your mind." Tiwalola is a part of numerous CSR projects such as Leap Africa's Youth Day of Service and among others. He is also the founder of Zarafet Loaves, a Lagos-based bread bakery, and Trendupp Africa.

Silas Adekunle



Silas Adekunle is the co-founder and CEO of R.I. a data platform for industrial automation and IOT. He is graduated as an Honorary Degree of Doctor of Technology from the University of the West of England, Bristol. "Coming up with an idea, presenting it to people and getting them to say "yeah we believe in this" was nothing but entrepreneurship." Silas is also co-founder and CEO of Awarri, a company focused on enabling robotics and AI in Africa, starting with education.

Uche Pedro

Uche Pedro is the founder and CEO of Bella Naija, a media company known for creation of content in the lifestyle and entertainment domain. She earned a degree as the Masters in Public Administration from the Harvard Kennedy School. Being passionate about her nurturing the youth of her community, she founded the #BNDogood, an initiative that supports numerous non-profit organisations such as LEAP Africa, Slum2School, Django Girls, among other. "Cut out the noise, focus on doing the right thing, making an impact on opening doors for others to come"

Oluwaseun

Seun is the best graduating student of law in her set and a growing entrepreneur that deal in fabrics. She has a remarkable history of graduating as the best graduating student in primary school, secondary school, and the University. She was the 2nd best graduating student overall in Faculty of Law, Adekunle Ajasin University, while being a full-time entrepreneur. In her words, " I combined law with business and I still graduated as one of the best

Who is next? You?**Entrepreneurship Support Institution in Nigeria**

Are different institutions or organizations that supports the growth and development of entrepreneurship in Nigeria. entrepreneurship development in Nigeria. They include government agencies, associations, and microfinance institutions.

Government agencies

- Small and Medium Enterprises Development Agency of Nigeria (SMEDAN): Promotes and develops small and medium enterprises (SMEs)
- Nigerian Export Promotion Council (NEPC): Promotes the development and diversification of exports in Nigeria
- National Digital Innovation and Entrepreneurship Council (NDIEC): Aligns national policies for startup development and supports tech-enabled startups
- Central Bank of Nigeria (CBN): Provides financial support and inclusiveness

Associations

- Manufacturer Association of Nigeria (MAN): Supports entrepreneurship
- National Association of Small and Medium Enterprises (NASME): Supports entrepreneurship
- Nigerian Association of Chambers of Commerce, Industry, Mines, and Agriculture (NACCIMA): Supports entrepreneurship

Microfinance institutions

- Micro Finance Institutions (MFIS): Support entrepreneurship

Other institutions

- Small and Medium Enterprises Equity Investment Scheme (SMEEIS): Supports entrepreneurial financing
- Bank of Industry (BOI): Supports entrepreneurial financing and the Youth Entrepreneurship Support Program (YES-P)

Youth Enterprise Networks

Youth enterprise networks are platforms that connect the youth and young entrepreneurs in a bid to foster and further develop entrepreneurship spirit/mind set. This network connects people with entrepreneurship programs and resources. They can help young people start businesses and address challenges like poverty and unemployment. In Nigeria, Youth Entrepreneurship Network is a platform which serves as a strategic part of the Youth Entrepreneurship Strategy in Nigeria.

The enterprise networks are interventions in a way, that are intended to all create the basis of a sustainable network of youth entrepreneurs which will help to coordinate the efforts of existing youth entrepreneurship organizations. In this context, the sectors supported by this project are categorized under the following categories: community development, economic empowerment and gender equality.

Examples of youth enterprise networks

- Nigeria Youth Entrepreneurship Network (NYENET)**
A public-private partnership that connects young people and women with entrepreneurship programs. NYENET also helps members apply for programs online.
- Youth Entrepreneurship and Innovation Multi-Donor Trust Fund**
A fund that supports African youth-led startups and micro, small, and medium enterprises. The fund's goals include increasing youth employment and access to finance.
- Youth Entrepreneurship Policy Academy (YEPA)**
A network that connects policymakers, young entrepreneurs, and experts to share knowledge about youth entrepreneurship.
- Youth Business International (YBI)**

An organization that works with the Global Entrepreneurship Network to publish the Youth Entrepreneurship Policy Framework.

v. **Youths Enterprise Development and Innovation Society (YEDIS)**

An organization that participates in events like the Nigerian Civil Society Consultative Forum on the Summit of the Future.

Environmental and Cultural Barrier to Entrepreneurship in Nigeria

No doubt, there is an intricate interplay between culture and entrepreneurship anywhere in the world. In Nigeria, cultural dynamics deeply shape entrepreneurial endeavors. Indigenous values and traditions profoundly influence business strategies and decision-making processes. The communal ethos prevalent in Nigerian culture fosters collaborative entrepreneurship, where community bonds contribute to business success.

Traditional beliefs also impact the perception of risk and innovation, affecting the entrepreneurial mindset. Moreover, the rich tapestry of Nigerian cultures influences business etiquette, negotiation styles, and relationship-building crucial for entrepreneurial ventures. Understanding these cultural nuances is pivotal for entrepreneurs navigating the diverse landscape of Nigeria.

Overview of Nigerian Culture

Nigeria is a country with a vibrant and diverse cultural heritage. It is home to over 250 ethnic groups, each with its unique customs and traditions. The Nigerian culture is a blend of various influences, including indigenous, colonial, and foreign. The cultural richness of Nigeria is evident in its art, music, dance, and folklore. Traditional Nigerian attire, such as the colorful Ankara fabrics and Buba outfits, showcase the country's cultural pride.

The Diverse Ethnic Groups and Languages in Nigeria

Nigeria is often referred to as the "Giant of Africa" due to its population and ethnic diversity. There are three major ethnic groups in Nigeria: the Hausa-Fulani, Yoruba, and Igbo. Each ethnic group has its distinct language, customs, and traditions. There are also numerous minority ethnic groups, such as the Ijaw, Kanuri, Tiv, and Edo. This ethnic diversity adds richness to Nigeria's cultural landscape and fosters a sense of unity in diversity.

The Importance of Cultural Values and Traditions

Cultural values and traditions play a significant role in shaping Nigerian society and entrepreneurship.

- i. Respect for elders, communal living, and hospitality are core values deeply embedded in the Nigerian culture.
- ii. The strong sense of community and family support are essential foundations for entrepreneurship.
- iii. Traditional rites of passage, such as naming ceremonies and weddings, promote social cohesion and networking.

- iv. Entrepreneurs often leverage cultural traditions and values to build trust and establish business relationships.

Nigerian entrepreneurship thrives within the vibrant tapestry of the country's rich cultural heritage. With numerous ethnic groups and languages, the business landscape is uniquely diverse. Entrepreneurs must adeptly navigate cultural nuances, molding strategies to fit the varied contexts. Cultural values, like respect and hospitality, significantly impact entrepreneurial ventures.

Building on relationships and networking is pivotal, with successful entrepreneurs emphasizing trust, rooted in cultural authenticity. Traditional festivals and market gatherings offer platforms for showcasing products, stimulating economic growth. Industries like fashion, music, and film flourish, aligning with Nigeria's cultural expressions. Nollywood, the second-largest film industry globally, exemplifies this synergy. Understanding and appreciating this cultural mosaic is crucial for entrepreneurs, shaping business strategies and fostering connections with diverse audiences.

In essence, the influence of culture on Nigerian entrepreneurship is undeniable. Embracing this cultural richness unlocks opportunities, paving the way for sustainable success in the dynamic Nigerian market.

Challenges Faced by Entrepreneurs due to Cultural Factors

- i. Lack of access to capital, as cultural practices often prioritize communal needs over individual aspirations.
- ii. The preference for stability and security hampers risk-taking behavior among entrepreneurs.
- iii. Hierarchical societal structure hinders entrepreneurship by discouraging social mobility and innovation.
- iv. The culture of relying on family connections and nepotism limits opportunities for new entrepreneurs.
- v. Cultural norms regarding age and seniority can undermine the confidence and authority of young entrepreneurs.
- vi. The emphasis on collectivism often discourages individualistic pursuits like entrepreneurship.
- vii. Negative perception and stigma attached to failure inhibits entrepreneurial initiatives in Nigeria.
- viii. Resistance to change and adherence to traditional practices hinder entrepreneurial growth in Nigeria.
- ix. A high-power distance culture discourages questioning authority and creative problem-solving, inhibiting entrepreneurial development.

Influence of Religious Beliefs in Limiting Entrepreneurial Endeavors

- i. Religious beliefs, such as the emphasis on modesty and contentment, discourage material pursuits associated with entrepreneurship.

- ii. The perception of wealth accumulation as sinful can limit the motivation to venture into entrepreneurial activities.
- iii. Religious norms may prioritize charity and philanthropy over individual economic success.
- iv. Frequent religious obligations and rituals can divert time and energy away from business activities.
- v. Religious restrictions on certain industries or practices can hinder entrepreneurial opportunities.
- vi. Cultural norms can influence the division of labor and limit women's access to entrepreneurship due to religious beliefs.
- vii. Religious conservatism can resist new ideas and innovation, hindering entrepreneurial ventures in Nigeria.
- viii. Religious restrictions on interest-based financial systems can pose challenges for entrepreneurs seeking capital.
- ix. The influence of religious authorities can discourage risk-taking and experimentation necessary for entrepreneurial success.

Impact of Gender Roles on Women Entrepreneurs

- i. Cultural expectations for women to prioritize family responsibilities limit their involvement in entrepreneurial activities.
- ii. Gender discrimination and biases in accessing capital and resources restrict women's entrepreneurial success.
- iii. Social stigmatization and traditional beliefs often undermine the confidence and self-esteem of women entrepreneurs.
- iv. Cultural norms regarding women's mobility and interactions hinder networking opportunities critical for entrepreneurial growth.
- v. The burden of household chores and childcare responsibilities limits the time and energy women can dedicate to their businesses.
- vi. The prevalence of gender-based violence and harassment can deter women from pursuing entrepreneurial endeavors in Nigeria.
- vii. Gender stereotypes and biases perpetuate societal expectations that women are not suitable for leadership roles in business.
- viii. Limited access to education and training opportunities further marginalizes women in the entrepreneurial sphere.
- ix. Lack of mentorship and role models hampers the growth and development of women entrepreneurs in Nigeria.
- x. Gender pay gaps and inequitable economic opportunities pose significant barriers for women venturing into entrepreneurship.

In fact, cultural factors in Nigeria contribute to significant barriers to entrepreneurship. These barriers include limited access to capital, hierarchical societal structures, cultural norms and practices, religious beliefs, and gender roles. Recognizing and addressing these barriers is crucial for fostering a more inclusive and supportive environment for entrepreneurs in Nigeria.

Government Initiatives and Cultural Entrepreneurship in Nigeria

Government Policies and Programs

The Nigerian government has implemented various policies and programs to foster cultural entrepreneurship. These initiatives aim to provide support and create an enabling environment for individuals and organizations engaged in cultural entrepreneurship. For instance, the government has established the National Council for Arts and Culture (NCAC), which is responsible for promoting and developing cultural entrepreneurship in Nigeria. The NCAC provides financial assistance, grants, and loans to cultural entrepreneurs to start and expand their businesses.

Additionally, the Nigerian government has implemented tax incentives and exemptions for cultural entrepreneurs. These measures aim to reduce the financial burden on cultural entrepreneurs, enabling them to invest more in their businesses. Moreover, the government has created incubation centers and innovation hubs across the country. These centers provide resources, mentorship, and training to cultural entrepreneurs, helping them enhance their skills and develop sustainable business models.

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Compiled for ENT 211 Lecture Module Four

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7th February, 2025



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CCMAS ENT 211: ENTREPRENEURSHIP AND INNOVATION
LECTURE MODULE SEVEN

Contemporary Entrepreneurship Issues (Knowledge, Skills and Technology, Intellectual Property, Virtual Office, Net-working)

Entrepreneurship requires a comprehensive understanding of the interplay between knowledge, skills, technology, intellectual property, virtual office setups, and networking. Mastery of these areas can significantly enhance the likelihood of a startup's success and sustainability in a competitive market landscape.

Knowledge

Market Knowledge: Understanding market demands, trends, customer preferences, and competitor analysis is crucial for crafting products or services that meet the market needs.

Financial Literacy: Foundational knowledge in budgeting, financial forecasting, and investment strategies is essential for managing resources efficiently.

Industry-Specific Knowledge: Familiarity with specific industry standards, regulations, and emerging technologies can provide a competitive advantage.

Skills

Problem-Solving: Ability to identify challenges and develop effective solutions is critical for navigating the entrepreneurial landscape.

Communication: Strong verbal and written communication skills facilitate networking, pitching to investors, and customer relations.

Leadership and Team Management: Leading a team, motivating employees, and fostering a collaborative culture are essential skills that contribute to a successful entrepreneurial venture.

Technology

Digital Tools and Platforms: Familiarity with tools for project management (e.g., Trello, Asana), customer relationship management (e.g., Salesforce), and marketing automation (e.g., HubSpot) can enhance operational efficiency.

Data Analysis: Leveraging data analytics tools to gain insights about consumer behavior, sales trends, and operational efficiency can drive better decision-making.

E-commerce and Online Presence: Understanding how to effectively use e-commerce platforms and social media for marketing and sales is critical in today's digital era.

Intellectual Property (IP)

Intellectual property is a category of property that includes intangible creations of the human intellect. There are many types of intellectual property, and some countries recognize more than others.

Types of IP

1. Patents: Protect inventions and processes.
2. Trademarks: Protect brand identity, including logos and slogans.
3. Copyrights: Protect creative works like literature, music, and art.
4. Trade Secrets: Protect confidential business information that gives a competitive edge.

Importance of IP

Protection of Innovations: Securing patents, trademarks, and copyrights protects the unique ideas and branding of a business, preventing competitors from using them without permission.

Value Addition: Intellectual property can significantly increase the valuation of a startup, making it more attractive to investors.

Licensing Opportunities: Businesses can generate revenue by licensing their intellectual property to others, providing a potential income stream.

Virtual Office

A virtual office is an online office. It is a flexible workspace that enable business operation to be carried out without any physical/traditional address. It can be used by entrepreneurs, freelancers, and small businesses that do not need or cannot afford a traditional office space. It can also be used by larger companies that want to establish a presence in a specific location without committing to a long-term lease.

Advantages of a Virtual Office:

1. **Cost Savings:** Reduces overhead costs associated with renting physical office space, which is beneficial for startups and small businesses.
2. **Flexibility:** Offers the ability to work from anywhere (work from home), promoting a better work-life balance and access to a global talent pool.
3. **Professional Image:** Provides a business address and communication services, allowing businesses to maintain a professional image without the expense of a physical location.

Technology utilized for virtual office

Virtual office relies/tries on technology and technological gadgets that includes:

1. **Communication Tools:** Platforms like Zoom, Microsoft Teams, and Slack facilitate smooth communication and collaboration among team members.
2. **Document Sharing and Storage:** Cloud services (e.g., Google Drive, Dropbox) enable easy access to documents and files from anywhere.
3. **Virtual Reception Services:** Companies can use virtual receptionists to manage calls and customer inquiries professionally.

Net-working

Networking is an important entrepreneurship concept that involves building relationships with other entrepreneurs, industry experts, and mentors

Importance of networking in entrepreneurship:

Access to Resources: Networking can lead to valuable connections that provide access to funding, mentorship, and business opportunities.

Knowledge Sharing: Engaging with other entrepreneurs can facilitate knowledge transfer and exposure to new ideas and best practices.

Building Relationships: Developing strong professional relationships can lead to partnerships, collaborations, learning new skills, staying informed, getting inspired and increased visibility within the industry.

Networking strategies:

Attend Industry Events: Participate in conferences, trade shows, and networking events to meet potential partners and clients.

Utilize Social Media: Leverage platforms like LinkedIn to connect with industry peers and share insights, enhancing visibility and reputation.

Join Professional Organizations: Becoming a member of industry-relevant groups can provide additional networking opportunities and resources.

Stage 1 – Discovery

Entrepreneurs identify and evaluate potential new business opportunities. This requires research, exploration, and understanding of current needs, demands, and trends from consumers and others.

Stage 2 – Modeling

This is split into three parts and starts by setting out a Strategy, formulating a business model and setting the business processes to achieve the strategy. The model should be underpinned by the resources available and those which may still need to be secured.

Stage 3 – Startup

Once the resources detailed in the business plan are mobilized the entrepreneurial process can be activated and implementation can take place. In this stage the business may be trading or begin to research or develop a product.

Stage 4 – Existence

At this stage the business has two core focuses; to gain enough customers to create a profitable business and, at the same time establishing production or product quality. The majority of businesses fail at this stage due, in part, to either one or both of these factors.

Stage 5 – Survival

At this stage the business should be a viable entity in terms of cash flow and resources, it has enough customers and satisfies them sufficiently with its products or services to gain repeat sales.

Stage 6 – Success

Entrepreneurs at this point capitalize on the company's accomplishments, expand or, keep the company stable and profitable.

Stage 7 – Adaptation

Businesses which reach this stage normally have a number of factors pushing them to adapt, these are normally grounded in changes either to the micro or macro environments.

Stage 8 – Independence

A business at this stage should now have the advantages of size, financial resources, market share and managerial talent. Innovation and Intrapreneurship are now key factors in keeping the business in market position.

Stage 9 – Exit

The last of the Enterprise Creation stages is focused on exiting the business and making their separation permanent. An exit strategy will give the entrepreneur a way to reduce or eliminate their stake in the business and, if the business is successful, make a substantial profit. The organization at this stage is generally profitable, has a definable set of resources with a clear and realistic strategy to continue. The CEO and founder(s) are separate.

Types of business enterprise

There are different types of businesses to choose from when forming a company, each with its own legal structure and rules. Typically, there are four main types of businesses:

- Sole Proprietorship – owned and managed by a single person
- Partnerships – owned and managed by 2 or more individuals
- Limited Liability company – has is a separate legal entity in which the liability of owners are limited either by share or guarantee.
- Corporation – majorly government's own establishments that provide essential services

Before establishing/creating a business, entrepreneurs should carefully consider which type of business structure is best suited to their enterprise, as each of the listed type of business.

Partnership and Networking

Networking and building strategic partnerships are essential elements of success in today's business world.

- Networking is about building a wide range of connections.
- Strategic partnerships take it a step further. A strategic alliance is a mutually beneficial collaboration between two or more entities to achieve a shared goal. This is the basis for establishing a joint venture.

A joint venture

A joint venture is a cooperative business venture where two or more entities combine their resources and capabilities to achieve a specific goal. These entities, often separate companies, form a new entity or collaborate without creating a new legal entity.

Joint ventures can take various forms, each catering to specific business needs and objectives.

Types of joint ventures (JV)

There are four main types of JV. They are mentioned below:

- Project-based joint venture
- Vertical Joint Venture
- Horizontal Joint Venture
- Functional-based Joint Venture

Project-Based Joint Venture

Under this the partners come together to accomplish a fixed task. Since these collaborations are usually done for an exclusive purpose, they stand cancelled once the project is accomplished. These joint ventures exist for a particular task, project, or time span.

Function-Based Joint Venture

In this, parties form an agreement to mutually benefit from the arrangement. This agreement is in order that they gain from each other's expertise in different areas. This enables them to work efficiently and effectively. Before entering an agreement, the would-be partner companies ascertain whether they will be able to function and perform efficiently together or not.

Vertical Joint Venture

In this type of joint ventures, the transaction is between the buyers and the suppliers. Not an economically viable option, it is termed bilateral trading. In such a joint ventures, different manufacturing stages of a single product are integrated to create economies of scale that reduce the per-unit cost of the finished product. Usually, this category of joint venture proves to be very successful. The relationship between the buyer and supplier also remains good. The business prospers, and quality products reach consumers at a reasonable price.

Horizontal Joint Venture

In this venture, companies dealing in/ selling similar products and direct competitors in the market join hands to create an output that can be reached to customers of either party. In this JV, disputes often arise because both companies are dealing in identical/ similar businesses. The parties also face opportunistic behavior from each other. The gains from this alliance are shared according to the agreement by the parties. Such ventures are not very satisfying as, despite the cooperation, a feeling of resentment stays.

Advantages of a Joint Venture

Companies enter into a joint venture to combine their expertise and resources, thus reaping gains from this new partnership. It is to be understood that no venture is without risk. The advantages of a joint venture are mentioned below:

- A joint venture, if managed efficiently, helps the partners to grow
- It results in increased productivity
- Rise in profits
- The partners can utilize each other's distribution networks and access new markets
- Increase in production capacity
- Avail of new knowledge and expertise
- Efficient and specialized staff
- Access to each other's resources like finance and technology
- Growth without the need to borrow outside funds or scout for investors
- In a joint venture the parties can use the partner's customer database for marketing products

- Invest together in development and research
- A joint venture is very flexible
- It has a limited lifespan and covers a part of what you do. This limits the commitment of all the parties
- Joint ventures are very popular with businesses operating overseas.

Disadvantages of Joint Venture

There are significant risks relating to liabilities, possible conflicts, and disputes between the partners. Reasons for this can be:

- Unclear objectives of the venture
- Lack of communication between the partners
- Expectation also not met
- Discrepancies in the level of expertise and investment of either party
- Unequal distribution of work and resources
- Lack of cooperation due to different cultures and management
- Lack of leadership and support
- Conflict between the workers

Reasons to form a Joint Venture

There are four main reasons to form a joint venture:

- **Leverage Resources**

A joint venture is an advantage since it can avail of the combined resources of all partners to achieve the target. One partner might possess the expertise, while another has a well-established manufacturing unit. Some have good distribution channels, while others include a very efficient and motivated workforce. Channeling all these together can help achieve excellent results.

- **Cost-Saving**

Today, with the costly implementation of technical advances, joint ventures can apply economies of scale and increase their production at a lower cost than if they were working separately. Cost savings can also be made in advertising and labour costs.

- **Combined Expertise**

The companies can combine their expertise and gain from the other partner's talent within their company.

- **Enter Foreign Markets**

Companies also use joint ventures to enter a foreign market by partnering with a local business of the said country. Companies that desire to spread their distribution networks in foreign lands can enter a Joint Venture agreement to supply goods to a local business in that country.

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Compiled for ENT 211 Lecture Module Eight

by: David O. Ayeni (2024/2025 Academic Session ENT Coordinator)

14th February, 2025

Paper 2 of 9 — Cyssa hub200 lvl materialsENT 211ENT 211 LECTURE MODULE ONE.pdf

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LECTURE MODULE ONE

Concept of Entrepreneurship (Entrepreneurship, Intrapreneurship/Corporate Entrepreneurship)

In the world of today, many businesses have failed (wounded-up) and many more are failing due to lack of understanding of what it takes to run a business. This necessitates proper entrepreneurship education in tertiary institutions, that is aimed at building entrepreneurship spirit in graduates, that is needed for business survival and growth.

At the end of this module, the students should be able to:

- Define the concept of entrepreneurship and intrapreneurship/ corporate entrepreneurship
- Differentiate between entrepreneurship and intrapreneurship
- Identify an entrepreneur and an intrapreneur by their characteristics.

What is Entrepreneurship?

The word entrepreneurship is derived from the French word '**entreprendre**', which simply means '**to undertake**'. It indicates a situation in which an individual undertakes an act of some sort. It is important to state that entrepreneurship has no universal definition as many scholars have defined it differently from their own perspective. For instance, Putari (2006) observes that scholars had not been in agreement in their definitions of entrepreneurship and chronicled the definitions of entrepreneurship by various scholars.

Some definitions of entrepreneurship

- Cantillon views entrepreneurship as: "self-employment of any sort".
- In 1934, Joseph Schumpeter equated entrepreneurship with the concept of innovation and applied it to a business context, while emphasizing the combination of resources.
- Penrose (1963) views entrepreneurship as the activity that involves identifying opportunities within the economic system.
- Leibenstein (1968, 1979) perceives entrepreneurship as involving "activities necessary to create or carry on an enterprise where not all markets are well established or clearly defined and/or in which relevant parts of the production function are not completely known".
- Okpara (2000) defines entrepreneurship as the willingness and ability of an individual to seek out investment opportunities in an environment and be able to establish and run an enterprise successfully based on the identifiable opportunities.
- Nwachukwu (1990) regards entrepreneurship as a process of seeing and evaluating business opportunities, gathering the necessary resources to take advantage of them and initiate appropriate action to ensure success.

These definitions of entrepreneurship as given by the different scholars, lays emphasis on:

- Self-employment of any sort.
- Creation of organizations.
- Innovation applied to a business context.
- The combination of resources.
- Identification and exploitation of opportunities within the economic system or market.
- The bringing together of factors of production under uncertainty.

Therefore, it can be summarized that any activity that involves a combination of the above can be regarded as Entrepreneurship. In this sense, entrepreneurship refers to all the processes and activities involved in establishing, nurturing, and sustaining a business enterprise. It involves the exploitation of opportunities which exist within a market.

Who is an entrepreneur?

Frankly speaking, not everyone who ventures into a business, or who is self-employed is an entrepreneur. To be an entrepreneur goes beyond owning or running a business of your own. A person must possess certain qualities and must have undergone some level of training to be qualified to be addressed as an entrepreneur. Entrepreneurs are people who see opportunities even in the midst of threats.

Some definitions of entrepreneur have been given by scholars

- The entrepreneur has been defined by Hornby (1995) as the person who starts or organizes a commercial enterprise, especially one involving financial risk.
- Meredith et al., (1991) defined entrepreneurs as people who have the ability to see an evaluate business opportunities, gather the necessary resources in order to take advantage of them, and to initiate appropriate action to ensure success.
- Stevenson and Jarillo-Mossi (1986) suggest that entrepreneurs create value by combining resources to exploit an opportunity.
- Putari (2006) asserts that the entrepreneur is the agent "who unites all means of production and who finds in the value of the products ... the reestablishment of the entire capital he employs, and the value of the wages, the interest, and rent which he pays, as well as profits belonging to himself." He views entrepreneurs as change agents (Say, 1816).
- Knight (1921) views entrepreneurs as individuals who attempt to predict and act upon change within markets.
- Schumpeter (1934) conceives the entrepreneur as the innovator who implements change within markets through the carrying out of new combinations such as introduction of new techniques of production, reorganization of an industry and innovation. He further argues that the entrepreneur is an innovator, one that introduces new technologies into the workplace or market, increasing efficiency, productivity or generating new products or services (Deakins and Freel, 2009).
- In Quick MBA (2010), the entrepreneur is defined as one who combines various input factors in an innovative manner to generate value to the customer with the hope that this

value will exceed the cost of the input factors, thus generating superior returns that result in the creation of wealth.

From the forgoing, the important duty of an entrepreneur is to organize the other factors of production such as land, labour and capital, to ensure the achievement of the organization's goal. The entrepreneurs run businesses that may be micro/small, medium or even large corporations. For example, an entrepreneur can be a book seller at the university gate, a barrister who opens a law chamber, a man or woman who establishes a school or factory. Whatever the case, the entrepreneur is the boss, manager, initiator, organizer, planner, administrator, decision maker and risk taker.

As argued by Olatunla (1997), one out of every three new businesses fail during their first five years, while as high as eighty (80) percent of small businesses fail during their first five years. Consequently, an entrepreneur faces great risk and challenges, and therefore, must ensure that business ideas are properly planned, monitored and coordinated to achieve the desired goals. It is important that the goal be SMART i.e specific, measurable, achievable, realistic, and time-bound.

Intrapreneurship/corporate entrepreneurship

Not everyone who possesses entrepreneurial skill will start up as a business owner. For one reason or the other, some entrepreneurs may be employed to work in corporate organizations. Sometimes, this may be in a bid to raise business start-up capital, and/or to acquire some level of experience about a particular business before personally venturing into it. Such corporate organization employees who possess entrepreneurial skills are known as intrapreneur.

Intrapreneurship entails the development new business ideas, products, or services within an existing organization. Hence, it is also known as corporate entrepreneurship. Within the organization, intrapreneurs use their entrepreneurial skills to launch new projects or initiatives within their organization. They have the backing and resources of their company, but must navigate internal processes and approvals.

Who is an intrapreneur?

An intrapreneur is an employee of an established company who has an entrepreneurial mindset. In other words, they embrace innovation, such as thinking of new products or services that can further the company's growth objectives. An intrapreneur might spearhead a major new initiative, for example, and possibly be in charge of their own team. Virtually any type of employee could be an intrapreneur — from a salesperson to the chief financial officer (CFO). In recent times, intrapreneurship is greatly encouraged in corporate organizations through the division of employees into different teams that may also be called think-tank groups within a larger organization. These teams are granted greater autonomy to pursue their own initiatives

Entrepreneurship and Intrapreneurship

From the discussion so far, we can deduce that both entrepreneurship and intrapreneurship involve identifying opportunities, developing new ideas and bringing them to market. Both of these

professionals embrace the entrepreneurial mindset. They are constantly thinking of ways to solve real-world problems through new or improved products or services.

While there are certainly exceptions, both entrepreneurs and intrapreneurs may exhibit the following character traits and skills:

- Creativity
- Out-of-the-box thinking
- Desire to improve products or services, and solve real-world problems
- Leadership abilities
- Adaptability in an ever-changing business environment
- Passion for continuous, lifelong learning

However, there are areas of differences between an entrepreneur and an intrapreneur. These can be briefly discussed under the following headings:

Ownership and control

While entrepreneurs create and manage their own businesses, and as such operate independently, intrapreneurs innovate within the structure of an existing organization

Risk profile

The risk profiles of entrepreneurship versus intrapreneurship differ significantly. Unlike the intrapreneurs who are only employees, entrepreneurs face high personal and financial risk, as they invest their own resources and time into their ventures/business.

Compensation/reward

The potential rewards can be substantial, however, including significant financial gain and personal fulfillment. Intrapreneurs, on the other hand, face lower personal risk since they work within an established organization and typically retain their job security. While the financial rewards for intrapreneurs may be less dramatic, they can achieve professional recognition, career advancement and the satisfaction of contributing to their company's success.

Decision making

Entrepreneurs in most cases must make sole decision on issues relating to their business, including securing their own funding (often through investors, loans or personal savings) and build their support networks from scratch. They need to be resourceful and self-reliant. However, intrapreneurs benefit from the existing infrastructure, financial resources and support systems of their organization. They can leverage company resources to develop and implement their ideas but must also align their initiatives with organizational goals and navigate internal politics and processes to gain support.

Dimensions of entrepreneurship qualities

According to Gartner (1985), there are four dimensions that can be used to explain the qualities/characteristics of an entrepreneur. These include: founder's characteristics, organizational characteristics, environmental characteristics, process/condition of establishment of the venture.

Founder's characteristics

As implied, this relates to the qualities possessed by an entrepreneur that guarantees his/her success in any business venture. A potential entrepreneur must re-examine/re-assess himself/herself to be sure that he/she possesses the capacity to undertake a business, taking into consideration the required physical, moral and emotional capacities. The following qualities can make the entrepreneur succeed in business:

Leadership – Successful entrepreneurs are successful leaders because they generate and develop ideas, gather necessary resources and set goals for business.

Risk-taking- Entrepreneurs are reasonable risk takers. They sometimes take up very difficult but surmountable challenges, by applying their skills and knowledge. The entrepreneur undertake risk to profit from it.

Originality – Successful entrepreneurs must be initiative, innovative, creative, resourceful, versatile and knowledgeable

Self-confidence – Successful entrepreneurs are self-confident and have the likeness for independence. They are people who are prepared to be accountable for their actions

Task/Result oriented – Successful entrepreneurs ensure that set goals/targets are achieved, through persistent and determined efforts, coupled with hard work.

Good Communication Skills

This basically pertains to communicate effectively. An entrepreneur who can effectively communicate with customers, employees, suppliers and creditors will be more likely to succeed than the entrepreneur who does not. An entrepreneur must have a good feedback system.

Human Skills

An entrepreneur must have good human relations. The most important personality factors contributing to the success of any entrepreneur include emotional stability, good inter- personal relations, consideration and tactfulness. An entrepreneur has to maintain good relations with his customers so as to encourage them to continue to patronize his business. He must also maintain good relations with his employees so as to motivate them to perform their jobs with a high level of efficiency.

Technical skills

An entrepreneur must have the competence and proficiency in the knowledge of the business. It is the possession of specialized knowledge and understanding in methods, processes, procedures and techniques in carrying out day-to-day activities. Examples are; coaching, organizing, monitoring environment amongst others.

Focused

In getting things done and starting and maintaining a business attention has to be paid to a lot of details. Small things when not handled properly or noticed on time may lead to disastrous outcomes.

Organizational characteristics

The organizational characteristics that must be taken into consideration includes the goals and objectives of the organization, its resources, and forms of business ownership (sole-proprietorship, partnership, limited liability company), types of business (micro, medium, large company), and the range of products/services provided. These characteristics have important relationship with the source of finance and determines its sustainability and relevance in a competitive business environment

Environmental characteristics

The entrepreneur must also take into consideration the environmental characteristics when starting a business. Since businesses operate within an environment, the environment will surely affect its activities. The environment must be properly scanned to overcome threats and take advantage of the opportunities therein. The scanning can be done through a SWOT analysis i.e analyzing the strength, weakness, opportunities and threats. The macroeconomic environment must be stable and investment friendly. The changes in the socio-economic and political environment must be identified on time, so that the business can adjust as appropriate,

Process of starting a new venture

The procedures and formalities to be followed in starting a new venture/business may involve meeting some legal requirements. Depending on the form of business, this may include registration of business, certificate of incorporation e.t.c. The entrepreneur must study and be familiar with all requirements, in order for the smooth establishment of the business.

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Compiled for ENT 211 Lecture Module One

by: David O. Ayeni (2024/2025 Academic Session ENT Coordinator)

4th January, 2025

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CCMAS ENT 211: ENTREPRENEURSHIP AND INNOVATION
LECTURE MODULE TWO

Theories, Rationale and Relevance of Entrepreneurship (Schumpeterian and other perspectives)

The operations and/or behaviour of an entrepreneur is guided by certain established theories. These theories determine the functionality of an entrepreneur, and covers the economic, social and psychological behaviour of an entrepreneur.

Understanding what drives individuals to start businesses and how they achieve success has led to the development of multiple theories. The theories offer varying perspectives on what propels Entrepreneurial success.

At the end of this module, the students should be able to:

- Understand the concept of Theories
- Explain and appraise the different theories of entrepreneurship.

Theories of Entrepreneurship

The concept of entrepreneurship was first established in the 1700s, and the meaning, approach and functionality has evolved ever since due to the development of different theories of entrepreneurship. Theories are propositions that have been tested and established to be true/valid over time. Theory forms the basis of the development and establishment of knowledge in any field of enquiry. Entrepreneurship theories are theories that offer varying perspectives on what propels Entrepreneurial success. They seek to explain and serve as a guide to the operations and functionality of entrepreneurs, they are broadly categorized into three:

- Economic
- Social
- psychological

1) Economic Theory of Entrepreneurship

This theory assumes that an entrepreneur combines resources, labour, materials and other assets together in order to make their value greater than before, and also introduce changes, innovations, creativity and a new order, in the face of unknown market conditions. Economic theories of entrepreneurship tend to understand business ventures in terms of an innovator purchasing several factors of a product at a bulk rate, and combining them for resale.

The economic theory of entrepreneurship is sub-divided into three namely; Classical theory, Neo-classical and Austrian Market Process

Classical Theory

The classical theory became developed from Britain's industrial revolution which took place in the mid-1700 and lasted until the 1830s. This theory promotes private ownership of the means of production and distribution within a capitalist economic system. This serves as motivating factor

for the development and expansion of entrepreneurship. The classical movement described the role of the entrepreneur in the context of production and distribution of goods in a competitive market place (Say, 1803).

Neo-classical Theory

The neoclassical theory describes entrepreneurs as people who identify new opportunities, reduce costs, and take business risks. It seeks to explain entrepreneurship by describing the role of entrepreneurs in identifying opportunities, reducing costs, and taking business risks. According to this theory, entrepreneurs are people who believed that economic phenomena could be relegated to instances of pure exchange, reflect an optimal ratio, and transpire in an economic system that was basically closed.

Austrian Market Process (AMP)

The unanswered questions of the neo-classical movement led to a new movement which became known as the Austrian Market process (AMP). The AMP, a model influenced by Joseph Alois Schumpeter (1934) concentrated on human action in the context of an economy of knowledge. Schumpeter (1934) described entrepreneurship as a driver of market-based systems. In other words, an important function of an enterprise was to create something new which resulted in processes that served as impulses for the motion of market economy.

The Economic Theories of Entrepreneurship focus on the economic factors which help in shaping Entrepreneurial activities. Classical economists highlight the importance of the Entrepreneur as a risk-taker and an organizer. The recent economic theories, emphasize on the element of innovation and the Entrepreneur's ability to disrupt markets. This can be done by introducing newer products and processes. Schumpeter's concept of "Creative Destruction" shows how entrepreneurial innovation can lead to economic growth. It displaces old technologies and business models.

2) Sociological Entrepreneurship Theory

The Sociological Theories examine how social structures and community networks and cultures influence entrepreneurial behaviour. This point of view suggests that Entrepreneurship is not only an individual endeavour. It is shaped, or rather influenced by the social environment. Factors like family background, social status, and community support significantly impact an individual's likelihood of becoming an entrepreneur. The sociological theory of entrepreneurship embraces social culture as a driving force of entrepreneurship.

3) Psychological Entrepreneurship Theories

This theory identifies traits, motives and human personality as the major factors that infuse the entrepreneurial spirit in an individual. The theory emphasizes personal characteristics that define entrepreneurship. The theory focuses on and believes that entrepreneurs have unique values and attitude towards work and life. These unique psychological traits differentiate entrepreneurs from non-entrepreneurs, and successful entrepreneurs from unsuccessful ones.

The psychological theories include:

- i. Personality trait
- ii. Need for achievement
- iii. Locus of control
- iv. Psychodynamic model
- v. Risk taking propensity

Personality Trait

Personality traits are the enduring inborn qualities or potentials of the individual that naturally make him/her an entrepreneur. These traits may include: vision, enthusiasm, optimism, flexibility, open mindedness, and versatility amongst others.

Need for achievement model

The need for achievement theory was propounded by McClelland (1961). The theory explained that human beings have a need to succeed, accomplish, excel or achieve. Entrepreneurs are usually driven by this need to achieve and excel.

Locus of control

Locus of control was first introduced by Julian Rotter in the 1950s. Rotter (1966) refers to Locus of Control as an individual's perception about the main underlying causes of events in his/her life. This theory states that there is a degree to which one believes that he/she is in control of one's destiny. Hence, entrepreneur's success is presumed to come from his/her own abilities and also support from outside.

Psycho-dynamic Model

This model was propounded by Kets de Vries. The model is concerned with how people tend to be self-employed and become successful because of their —troubled childhood. In troubled childhood, children tend to be abused, with low self-esteem, and lack of confidence. Therefore, an individual growing in such an environment does have reserved wishes towards those in control.

Some observations/criticism of Psychological Entrepreneurship Theories

1. This theory explains the behaviour of extreme category of people leaving out the rest.
2. Some people with similar background do not show innovative rebelliousness. Some tend to be criminals and/or drug addicts or alcoholics.

Other theories

4) Entrepreneurship Innovation Theory

The Innovation Theory is primarily associated with Joseph Schumpeter. It says that Entrepreneurship is fundamentally based on innovation. Entrepreneurs drive economic development by creating new products and processes. This also includes various business models that has the ability to disrupt existing markets. This theory says that the Entrepreneur's role is of an innovator. The innovator combines resources in various ways to generate value. The emphasis on innovation underscores the importance of creativity, technological advancements, and the ability to foresee market trends in entrepreneurial success.

5) Cultural Theory

The Cultural Theories of Entrepreneurship look after how cultural values, beliefs, and practices build Entrepreneurial activities. Different cultures foster varying levels of entrepreneurial spirit based on their attitudes toward risk, innovation, and individualism.

For example, cultures that value independence and reward innovation are more likely to produce successful Entrepreneurs. Hofstede's cultural dimensions theory is often used to analyze how cultural differences influence entrepreneurial behaviour across different societies.

6) Resource-based Theory

The Resource-based Theory emphasizes the importance of access to resources in the success of entrepreneurial ventures. This theory suggests that Entrepreneurs with unique resources or capabilities, such as financial capital, human talent, or proprietary technology, have a competitive advantage in the marketplace.

The ability to acquire, manage, and leverage these resources effectively is crucial for creating and sustaining a successful business. Resource-based theory highlights the strategic role of resource allocation and management in Entrepreneurship.

7) Effectuation Theory

The Effectuation Theory was developed by Saras Sarasvathy. It focuses on the decision making processes of Entrepreneurs. Unlike traditional workings that stresses on predictive planning. This theory speaks about Entrepreneurs starting with available means and continuously adjust their goals according to emerging opportunities and constraints.

This theory stresses on the importance of adaptability, experimentation, and using existing resources to achieve entrepreneurial success. Effectuation highlights the dynamic and iterative nature of the entrepreneurial process.

8) Social Network Theory

The Social Network Theory examines the role of social relationships and networks in entrepreneurial activities. Entrepreneurs rely on their networks. These networks are used for accessing information, resources, and support. Strong social ties can provide valuable mentorship, funding opportunities, and business partnerships.

Weak ties, on the other hand, can offer new perspectives and connections to diverse networks. Understanding the structure and dynamics of social networks helps Entrepreneurs build and leverage their connections to enhance their chances of success.

9) Human Capital Theory

The Human Capital Theory focuses on the importance of individual skills, knowledge, and experience in Entrepreneurship. Entrepreneurs with higher levels of education, industry experience, and specific competencies are more likely to identify and exploit business opportunities successfully.

Investing in human capital, through education and training, enhances an entrepreneur's ability to innovate, adapt, and grow their business. This theory underscores the critical role of continuous learning and skill development in entrepreneurial success.

10) Institutional Theory

The Institutional Theory explores how formal and informal institutions, such as laws, regulations, norms, and values, influence entrepreneurial activities. The institutional environment can either facilitate or hinder Entrepreneurship. Supportive institutions, such as robust legal frameworks, property rights, and access to finance, create a conducive environment for entrepreneurial ventures. Conversely, bureaucratic red tape, corruption, and restrictive policies can stifle entrepreneurial initiatives. Understanding the institutional context is essential for fostering a favourable ecosystem for Entrepreneurship.

11) The Knowledge Spillover Theory

The Knowledge Spillover Theory of Entrepreneurship suggests that new knowledge and innovations often spill over from established firms, research institutions, or other sources, creating opportunities for new ventures. Entrepreneurs capitalize on these spillovers by commercializing new ideas and technologies.

This theory focuses on the importance of knowledge transfer, collaboration, and proximity to innovation hubs in driving entrepreneurial activity. It underscores the role of research and development, education, and knowledge networks in fostering a vibrant entrepreneurial ecosystem.

12) The Profit Theory

The Profit Theory focuses on the role of profit as a driving force in Entrepreneurship. According to this theory, Entrepreneurs are motivated by the potential for profit, which serves as a reward for taking risks and innovating. Profit maximization is seen as the primary goal of entrepreneurial ventures. This theory underscores the importance of financial incentives and market opportunities in motivating entrepreneurial behaviour and sustaining business growth.

13) The Opportunity Theory

The Opportunity Theory posits that Entrepreneurship arises from the recognition and exploitation of opportunities. Entrepreneurs are alert individuals who can identify gaps in the market, unmet needs, or emerging trends. The ability to perceive and act on opportunities is a defining characteristic of successful Entrepreneurs. This theory highlights the importance of, opportunity recognition, and strategic planning in the entrepreneurial process.

14) The Ownership Theory

The Ownership Theory, also known as property rights theory, examines the relationship between ownership structures and entrepreneurial outcomes. This theory suggests that clear and secure ownership rights are crucial for fostering Entrepreneurship. When Entrepreneurs have confidence in their property rights, they are more likely to invest in their ventures, innovate, and take risks. The theory emphasizes the role of legal and institutional frameworks in protecting property rights and promoting entrepreneurial activity.

Selected References for Further Reading

Ynkamat, O. (2009). Theories of entrepreneurship. [http://scrib.com/theories of entrepreneurship](http://scrib.com/theories-of-entrepreneurship)

Bathia, .D.(2013). Theories of entrepreneurship. Retrieved from <http://slideshare/theoriesof-entrepreneurship.html>

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Compiled for ENT 211 Lecture Module Two

by: David O. Ayeni (2024/2025 Academic Session ENT Coordinator)
15th January, 2025

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LECTURE MODULE THREE

Concept and Dimensions of Innovation

Documentation started through means of writing. Again, writing started by writing on sand with bear fingers. Today, computer is the popular means of documentation. Before computer, there was qwerty typewriter, electric typewriter and even the computer has passed through stages. This process could be described as innovative process because the typewriter was an older innovation on documentation but today computer is the new innovation.

At the end of this module, the students should be able to:

- Differentiate the different types of innovations
- Evaluate your type of innovative ideas using innovative criteria.
- Should be able to apply the theories in managing business

What is Innovation?

Innovation is the process of translating an idea or invention into a good or service that creates value or for which customers will pay. To be called an innovation, an idea must be replicable at an economical cost and must satisfy a specific need.

Innovation involves deliberate application of information, imagination and initiative in deriving greater or different values from resources, and includes all processes by which new ideas are generated and converted into useful products.

In business, innovation often results when ideas are applied by the company in order to further satisfy the needs and expectations of the customers. In a social context, innovation helps create new methods for alliance creation, joint venturing, flexible work hours, and creation of buyers' purchasing power.

Types of Innovation

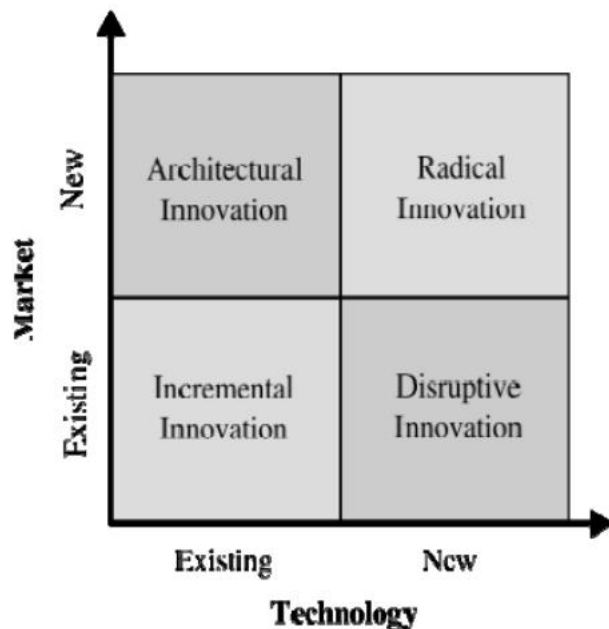
Innovation can be divided into two broad categories:

- Evolutionary innovations – this can either be continuous and dynamic evolutionary innovation. It is the type of innovation brought about by many incremental advances in technology or processes.
- Revolutionary innovations - (also called discontinuous innovations) which are often disruptive and new

Innovation is synonymous with risk taking and organizations that create revolutionary products or technologies take on the greatest risk because they create new markets, while imitators take less risk because they will start with an innovator's product and take a more effective approach.

Dimensions of innovation

Innovation has two dimensions which include: **Technology and Market**. These dimensions give rise to 4 types of innovation



Incremental Innovation

Incremental Innovation is the most common form of innovation. It utilizes your existing technology and increases value to the customer (features, design changes, etc.) within your existing market. Almost all companies engage in incremental innovation in one form or another. Examples include adding new features to existing products or services or even removing features (value through simplification). Even small updates to user experience can add value,

Disruptive Innovation

Disruptive innovation, also known as stealth innovation, involves applying new technology or processes to your company's current market. It is stealthy in nature since newer tech will often be inferior to existing market technology. This newer technology is often more expensive, has fewer features, is harder to use, and is not as aesthetically pleasing. It is only after a few iterations that the newer tech surpasses the old and disrupts all existing companies. By then, it might be too late for the established companies to quickly compete with the newer technology.

There are quite a few examples of disruptive innovation, one of the more prominent being Apple's iPhone disruption of the mobile phone market. Prior to the iPhone, most popular phones relied on buttons, keypads or scroll wheels for user input. The iPhone was the result of a technological

movement that was years in making, mostly iterated by Palm Treo phones and personal digital assistants (PDAs). Frequently you will find that it is not the first mover who ends up disrupting the existing market. In order to disrupt the mobile phone market, Apple had to cobble together an amazing touch screen that had a simple to use interface, and provide users access to a large assortment of built-in and third-party mobile applications.

Architectural Innovation

Architectural innovation is simply taking the lessons, skills and overall technology and applying them within a different market. This innovation is amazing at increasing new customers as long as the new market is receptive. Most of the time, the risk involved in architectural innovation is low due to the reliance and reintroduction of proven technology. Though most of the time it requires tweaking to match the requirements of the new market. In 1966, NASA's Ames Research Center attempted to improve the safety of aircraft cushions. They succeeded by creating a new type of foam, which reacts to the pressure applied to it, yet magically forms back to its original shape. Originally it was commercially marketed as medical equipment table pads and sports equipment, before having larger success as use in mattresses. This "slow spring back foam" technology falls under architectural innovation. It is commonly known as memory foam.

Radical innovation

Radical innovation is what we think of mostly when considering innovation. It gives birth to new industries (or swallows existing ones) and involves creating revolutionary technology. The airplane, for example, was not the first mode of transportation, but it is revolutionary as it allowed commercialized air travel to develop and prosper. The four different types of innovation mentioned here – Incremental, Disruptive, Architectural and Radical – help illustrate the various ways that companies can innovate. There are more ways to innovate than these four. The important thing is to find the type(s) that suit your business/company and turn those into success

Innovation Theory of Entrepreneurship

The innovation theory was first advocated by Joseph Schumpeter in 1934, while a dynamic theory of entrepreneurship was first advocated by Schumpeter in 1949. Joseph Schumpeter considered entrepreneurship as the catalyst that disrupts the stationary circular flow of the economy and thereby initiates and sustains the process of development.

Schumpeter introduced the concept of innovation as key factor in entrepreneurship in addition to assuming risks and organizing factors of production. Schumpeter defined entrepreneurship as —a creative activity. An innovator who brings new products or services into economy is given the status of an entrepreneur. He regards innovation as a tool of an entrepreneur. The entrepreneur is also viewed as the engine of growth which sees the opportunity for introducing new products, new markets, new sources of supply, new forms of industrial organization or for the development of newly discovered resources.

Functions of Innovation

The concept of innovation and its corollary development embraces five functions:

- i. The introduction of a new product with which consumers are not yet familiar or introduction of a new quality of an existing product,

- ii. The introduction of new method of production that is not yet tested by experience in the branch of manufacture concerned, which need by no means be founded upon the opening of new market that is a market on to which the particular branch of manufacturer of the country in question has not previously entered, whether or not this market has existed before,
- iii. Conquest of a new source of supply of raw material
- iv. The carrying out of the new organization of any industry.

Schumpeter is the first major theorist to put the human agent at the centre of the process of economic development. He is very explicit about the economic function of the entrepreneur. The entrepreneur is the prime mover in economic development; his function, to innovate or carry out new combinations. Schumpeter makes a distinction between an innovator and an inventor. An inventor discovers new methods and new materials.

On the contrary, an innovator is one who utilizes or applies inventions and discoveries in order to make new combinations. An inventor is concerned with his technical work of invention whereas an entrepreneur converts the technical work into economic performance. An innovator is more than an inventor because he does not only originate as the inventor does but goes much farther in exploiting the invention commercially.

Wilken added that the concept of the changes that an entrepreneur brings which includes:

- i. Expansion of goods, products.
- ii. Productivity of factors of production such as finance, labour, material.
- iii. Innovation in production such as, technology, process changes and increase in human resource productivity.
- iv. Innovation in marketing area such as the composition of the market, size of the market and new markets. According to Schumpeter, entrepreneurs are individuals motivated by a will for power; their special characteristic being an inherent capacity to select correct answers, energy, will and mind to overcome fixed talents of thoughts, and a capacity to withstand social opposition. The entrepreneur has been the major mover for economic development process.

Criticism of Innovation Theory

- i. The theory seems one-sided as it puts too much emphasis on innovative functions.
- ii. It ignores the risk taking and organizing aspects of entrepreneurship. An entrepreneur has not only to innovate but also assemble the resources and put them to optimum use.
- iii. ignored the risk-taking function, which is equally important. When an entrepreneur develops a new combination of factors of production, there is enough risk involved.

Observations from the Innovation Theory

The theory supports the —enterprising spirit of entrepreneur to innovate. It is the act that endows resources with a new capacity to create wealth. Drucker says, innovation creates a resource and it is endowed with economic value. Schumpeter 's views are particularly applicable to developing countries where innovations need to be encouraged. The innovation theory was propounded by Joseph Schumpeter who is regarded as father of innovation. The

innovation theory looks at concept of innovation as key factor in entrepreneurship in addition to assuming risks and organizing factors of production. The functions of innovation theory were described and criticism of the theory was also discussed as one of it is that it ignored the risktaking function. Observations from the theory were taken into cognizance. • Financing Innovation and New Ventures • Change management • Technical Change and management of Innovation

Class-Assessment Exercise

1. In what ways can an entrepreneur apply the theories of innovation in managing business?
2. How does innovation differ from invention?
3. Differentiate the different types of innovations

Selected References for Further Reading

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Compiled for ENT 211 Lecture Module Three

by: David O. Ayeni (2024/2025 Academic Session ENT Coordinator)
23th January, 2025

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LECTURE MODULE FOUR

Risk Taking, Necessity and Opportunity-based Entrepreneurship and Creative Destruction

What is Risk Taking in Entrepreneurship?

Risk taking is one of the greatest qualities that distinguishes an entrepreneur. Great entrepreneurs take calculated risk by investing time, money, effort and other resources in businesses or ventures with uncertain outcomes. This means that the entrepreneur faces the risk of potential loss if events don't turn out favourable.

Risk taking in entrepreneurship refers to the willingness and ability of entrepreneurs to make decisions and take actions that involve uncertainty, potential loss, and the possibility of failure. It involves analyzing potential risks, assessing their potential impact, and taking calculated risks that offer a favorable risk-reward ratio - After-all, most potential opportunities have an element of risk when they're pursued.

Types of Risk in Entrepreneurship

As an entrepreneur, it's important that you're prepared, knowledgeable and don't take on risk blindly. Every risk you take should be carefully assessed, this way, you'll be able to objectively calculate the type and level of risk involved to ensure the return on investment (ROI) is worth the effort and potential outcome of failure.

Financial Risk

Financial risk is a common type of risk faced by entrepreneurs, that involves the potential loss of investment or financial resources due to business failures, market fluctuations, or unforeseen circumstances.

Market Risk

Market risk relates to the uncertainties associated with the demand for a product or service in the market. Entrepreneurs must assess market conditions, consumer preferences, competitive landscape, and potential changes that could impact their business. Staying informed about market trends, conducting market research, and adapting strategies accordingly can help manage market risks.

Operational Risk

Operational risk pertains to challenges and uncertainties encountered in day-to-day business operations. It includes risks such as supply chain disruptions, production issues, regulatory

compliance, talent acquisition and retention, and technological failures. Entrepreneurs must identify and mitigate operational risks to ensure smooth business operations.

Reputational Risk

Reputational risk involves the potential harm to a company's brand or image due to negative publicity, poor customer experiences, unethical behavior, legal issues, or product failures. Entrepreneurs must be conscious of their actions, maintain transparency, and prioritize customer satisfaction to mitigate reputational risks. Building a strong brand, delivering quality products or services, and actively managing customer relationships are key to minimizing reputational risks.

Business Risk

A business which takes too high of a risk when launching a new product or entering into a new market can potentially jeopardize its own existence if over-leveraged. This means that it's own employee's may even lose their jobs, which would ultimately affect their own families and lives. Therefore, it's important that taking risks in business is considered carefully.

Importance of Risk Taking in Entrepreneurship

To grow your business, you'll have to take some level of risk. The importance of taking calculated risk includes:

1. Learning and Adaptability

Risk-taking in entrepreneurship provides valuable learning experiences. Even if a venture does not succeed, the lessons learned from taking risks contribute to personal growth and professional development. Risk takers develop resilience, adaptability, and problem-solving skills, which are essential for navigating the challenges of entrepreneurship and seizing future opportunities. By embracing risk, entrepreneurs learn to manage uncertainty, make informed decisions, and adjust their strategies based on market feedback and changing circumstances.

2. Gaining Competitive Advantage

Entrepreneurs who take calculated risks often gain a competitive edge in the market. By identifying and pursuing opportunities that others may overlook or consider too risky. Risk taking allows entrepreneurs to seize new markets, explore untapped niches, and position their businesses uniquely, giving them a competitive advantage and increasing their chances of long-term success.

3. Overcoming the Fear of Failure

Fear of failure (FOF) is a common psychological barrier for entrepreneurs. However, taking risks allows entrepreneurs to confront and overcome this fear. By acknowledging that failure is a possibility, entrepreneurs can adopt a growth mindset and view failures as valuable learning experiences rather than insurmountable obstacles. Risk taking helps entrepreneurs build resilience, persistence, and the ability to bounce back from setbacks, which are vital qualities for long-term success. Those with a greater FOF will perceive entrepreneurship as demanding and with great risks faced in the entrepreneurial process, they will choose not to start a business.

4. Driving Innovation and Growth

Risk taking is essential for driving innovation and fostering business growth. Entrepreneurs who are willing to take educated business risks often pursue new ideas, challenge conventional thinking, and disrupt existing markets. By embracing uncertainty and experimenting with novel approaches, entrepreneurs can introduce innovative products, services, and business models that resonate with customers and propel their ventures to success.

Examples Risk-Taking Entrepreneur

(A) Nigeria

Aliko Dangote

He is a successful entrepreneur who took great risk of investing huge funds in different business, some of which include: export, import, manufacturing, real estate and philanthropy. The chains of business is built into what is became known as the Dangote Group, which imports sugar, rice, fish, and cement, fertilizer and building materials. While it exports cotton, cocoa, cashew nuts, sesame seed, ginger and gum.

Mike Adenuga Junior

This entrepreneur has business in various industries such as banking, oil and telecommunications. He owns the Consolidated Oil Company, which is the first indigenous company to strike crude in December 1991. Consolidated Oil Company is into crude oil drilling, refining and marketing. He also owns the Equatorial Trust Bank and created one of the main telecommunications companies in Nigeria (Globacom), against all odds. Globacom Limited was created after he failed to penetrate the telecommunications industry in 1999 with his first telecommunications company. This entrepreneur was able to achieve these entrepreneurial successes because he has a unique flair for risks and tenacity of purpose.

(B) Other Countries

Elon Musk

Elon Musk, the visionary founder of Tesla, SpaceX, and other ventures, is renowned for his risk-taking mentality. Musk has consistently taken on high-risk ventures, investing billions of dollars into industries such as electric vehicles and space exploration. Despite facing numerous challenges and skeptics, Musk's risk-taking approach has led to significant advancements in both industries, establishing him as a prominent figure in the entrepreneurial world.

Jeff Bezos

Jeff Bezos, the founder of Amazon, is known for his bold and risk-taking strategies. In the early days of Amazon, Bezos expanded the company's offerings from books to a wide range of products, despite doubts about the profitability of online retail. This risk paid off, and Amazon became a dominant force in e-commerce, revolutionizing the retail industry.

Conclusion

In conclusion, entrepreneurs should take risks, but that doesn't mean they should be careless risk-takers. Instead, entrepreneurship involves embracing uncertainty, making calculated decisions, and taking bold actions to drive innovation, gain a competitive advantage, and foster personal growth

Necessity-based and Opportunity-based Entrepreneurship

The Global Entrepreneurship Monitor (GEM) project identifies two types of entrepreneurship activities which are: necessity and opportunity entrepreneurship. These activities are used to distinguish between the two basic types of entrepreneurs as we have them today.

Necessity-based Entrepreneurship

This is the type of entrepreneurship in which individuals start businesses primarily due to a pressing need, like unemployment or lack of available options in their community, often leading to more survival-oriented ventures. Such individuals who are initially unemployed before starting businesses are referred to as necessity entrepreneurs. In most cases, they are driven by immediate needs and may be more likely to take risks to secure a livelihood, even if the opportunities are less than ideal.

Opportunity-based entrepreneurship

This is the type of entrepreneurship in which the potential entrepreneur has other job options but participate in entrepreneurship because they can increase their income. Such entrepreneur are individuals who are wage/salary workers, enrolled in school or college, or are not actively seeking a job before starting businesses.

When entrepreneurs identify potential market gaps or new trends and actively pursue them to create innovative businesses with significant growth potential, they are referred to as opportunity-based entrepreneurs. By identifying new market opportunities, these entrepreneurs can take calculated risks to develop innovative products or services that disrupt existing industries, leading to creative destruction.

What is Creative Destruction?

Coined by the Austrian economist Joseph Schumpeter in his work “Capitalism, Socialism, and Democracy” (1942), the term “creative destruction” refers to the process by which old industries and technologies are replaced by new ones, through entrepreneurship activities of creating, developing, and scaling new businesses. It’s the idea that, in order for an economy to grow and evolve, outdated businesses and practices must be dismantled to make way for innovative and efficient alternatives.

Entrepreneurship and Creative Destruction

So, how do creative destruction and entrepreneurship work together? The answer lies in the cycle of innovation:

1. **Destruction of the Old:** As industries age, inefficiencies arise. Technologies become obsolete, and consumer demands shift. This creates vulnerabilities and opportunities for disruption.
2. **Birth of the New:** Entrepreneurs, sensing these vulnerabilities, introduce innovative solutions. These new businesses challenge the status quo, often leveraging newer technologies and models.
3. **Economic Growth:** As these new businesses thrive, they contribute to economic growth. They create jobs, increase productivity, and introduce new products and services that benefit consumers.
4. **Repeat:** Over time, even these new businesses become susceptible to disruption, and the cycle continues.

Theories of Creative Destruction

The interplay between creative destruction and entrepreneurship, as described in the text, can be connected to several academic theories and concepts from the fields of economics, business, and innovation studies. Here are some of the most relevant theories:

1. **Schumpeterian Growth Theory:** This theory is rooted in the works of Joseph Schumpeter, who introduced the concept of “creative destruction.” Schumpeter posited that economic growth in capitalist systems is driven by innovations, which often render older technologies or products obsolete. Entrepreneurs play a central role in this process by introducing these innovations.
2. **Resource-Based View (RBV) of the Firm:** This theory suggests that firms possess certain unique resources and capabilities that give them a competitive advantage. Over time, as the external environment changes, some of these resources may become obsolete, necessitating innovation and entrepreneurial activity to maintain or regain a competitive edge.
3. **Disruptive Innovation Theory:** Introduced by Clayton Christensen, this theory explains how simpler, cheaper innovations can eventually overtake and disrupt established market leaders. This aligns with the idea of entrepreneurs identifying vulnerabilities in the market and introducing novel solutions.
4. **Endogenous Growth Theory:** Proposed by economists like Paul Romer and Robert Lucas, this theory emphasizes the internal factors of an economy, like technological innovation and human capital, as drivers of growth. It underscores the importance of entrepreneurship and innovation in long-term economic development.
5. **Institutional Theory:** This theory looks at how institutional environments (like regulations, norms, and cultural beliefs) influence organizational behavior. In the context of the text, it can be related to how conducive environments foster innovation and entrepreneurial activity.

6. **Network Theory:** This theory emphasizes the importance of networks and connections in the diffusion of innovations. Entrepreneurs often leverage their networks to gain resources, knowledge, and market access, which can be crucial for the success of their innovative ventures.
7. **Theory of Entrepreneurial Opportunities:** This theory suggests that opportunities for entrepreneurship arise from discrepancies between current and potential resource allocations. Entrepreneurs recognize and exploit these opportunities, leading to economic growth and transformation.
8. **Evolutionary Economics:** Rooted in the works of economists like Richard Nelson and Sidney Winter, this theory views the economy as an evolving system. Firms and technologies undergo a process of variation, selection, and retention, similar to biological evolution. Creative destruction is a natural outcome of this process.

These theories, among others, provide a robust academic foundation for understanding the dynamic relationship between creative destruction and entrepreneurship and their collective impact on economic development.

Conclusion

Creative destruction and entrepreneurship together drive innovation, foster growth, and ensure that economies remain dynamic and resilient in the face of change. Embracing these forces is key to building a prosperous and sustainable future. Over the next decade, the interplay between creative destruction and entrepreneurship is poised to reshape global industries.

Key destructions include

1. **Sustainability Drive:** The urgency of climate change will propel green entrepreneurship, challenging industries reliant on non-renewable resources.
2. **Blockchain's Disruption:** Traditional centralized systems, especially in finance and supply chains, will face disruption from blockchain's transparent and decentralized nature.
3. **Healthcare Evolution:** The pandemic's aftermath will accelerate health tech innovations, revolutionizing traditional healthcare models.
4. **AI's Double-Edged Sword:** While AI and automation will birth new industries, they may also diminish certain job sectors, necessitating innovative workforce solutions.
5. **Space's New Frontier:** The burgeoning space economy, led by companies like SpaceX, will introduce entrepreneurial opportunities in space tourism and exploration.

In conclusion, the coming decade up to the 2030s promises a whirlwind of change driven by creative destruction and entrepreneurial innovation. While challenges await, these shifts also herald opportunities for growth, adaptation, and global advancement. The future landscape will be shaped by those who embrace change and harness the power of innovation.

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Compiled for ENT 211 Lecture Module Four

by: David O. Ayeni (2024/2025 Academic Session ENT Coordinator)
29th January, 2025

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CCMAS ENT 211: ENTREPRENEURSHIP AND INNOVATION
LECTURE MODULE FIVE

Entrepreneurial Thinking (Critical thinking, Reflective thinking, and Creative thinking)

What is Entrepreneurial Thinking?

Entrepreneurs make business decisions and take actions that involve uncertainty and the possibility of failure. Therefore, to succeed, it is imperative for the entrepreneur to make correct or appropriate decisions. This requires a great thinking or reasoning prowess.

Entrepreneurial thinking

Entrepreneurial thinking is a mindset that emphasizes innovation, problem solving, and adaptability in the face of challenges. It encompasses various cognitive processes, including critical thinking, reflective thinking, and creative thinking

1. Critical Thinking

Critical thinking is the ability to analyze information objectively, evaluate arguments, and make reasoned decisions. It involves questioning assumptions and considering multiple perspectives.

Key characteristics of critical thinking:

Analytical Skills: Entrepreneurs break down complex problems into manageable parts to understand their interconnections.

Informed Decision Making: Critical thinking aids in assessing risks and benefits, leading to logical and well-founded decisions.

Problem Definition: Entrepreneurs define problems clearly, allowing for targeted solutions.

Importance critical thinking in entrepreneurship:

Strategic Planning: Critical thinking is vital for setting realistic goals and developing effective strategies.

Risk Assessment: Entrepreneurs can evaluate potential risks associated with various opportunities, thereby ensuring informed risk taking.

Adaptability: In a rapidly changing business environment, critical thinkers can adjust their strategies based on new information.

2. Reflective Thinking

Reflective thinking involves examining one's own beliefs, experiences, and decisions to foster personal growth and improve future actions.

Key characteristics of reflective thinking:

Self-Awareness: Entrepreneurs reflect on their thought processes and decision-making patterns.

Learning from Experience: They analyze past successes and failures to extract valuable lessons.

Continuous Improvement: Reflective thinkers are committed to ongoing learning and development.

Importance of reflective thinking in entrepreneurship:

Enhanced Decision Making: By reflecting on previous choices, entrepreneurs can make more informed decisions in the future.

Resilience: Reflective thinking helps entrepreneurs cope with setbacks by framing them as learning opportunities rather than failures.

Empathy Development: Understanding diverse perspectives through reflection can enhance customer relations and team dynamics.

3. Creative Thinking

Creative thinking is the ability to generate novel ideas and solutions by thinking outside conventional frameworks.

Key characteristics of creative thinking:

Divergent Thinking: Entrepreneurs explore multiple solutions to a problem rather than settling for the first idea that comes to mind.

Innovation Orientation: They are driven by a desire to innovate and improve existing products or processes.

Flexibility in Thought: Creative thinkers adapt their approaches based on changing circumstances or new insights.

Importance of creative thinking in entrepreneurship:

Opportunity Recognition: Creative thinkers can identify unique market opportunities that others may overlook.

Product Development: Innovative ideas lead to the creation of new products or services that meet consumer needs effectively.

Competitive Advantage: Businesses that foster creative thinking are often better positioned to differentiate themselves from competitors.

Interrelationship Among Critical, Reflective, and Creative Thinking

The three types of thinking are interconnected and collectively contribute to successful entrepreneurial practices:

- i. **Critical Thinking Enhances Creativity:** By evaluating existing ideas critically, entrepreneurs can refine their creative processes and develop more viable solutions.
- ii. **Reflective Thinking Supports Critical Analysis:** Reflecting on past experiences enhances critical thinking skills by providing context for decision making and problem solving.
- iii. **Creative Thinking Fuels Reflection:** Engaging in creative exercises encourages entrepreneurs to reflect on their assumptions and explore new possibilities.

Entrepreneurial thinking is a multifaceted approach that combines critical, reflective, and creative thinking. Each component plays a vital role in navigating the complexities of entrepreneurship. By fostering these types of thinking, aspiring entrepreneurs can enhance their problem-solving abilities, make informed decisions, and drive innovation within their ventures. Emphasizing these cognitive skills will prepare them for the challenges of the entrepreneurial journey and empower them to create impactful businesses.

In conclusion, the coming decade up to the 2030s promises a whirlwind of change driven by creative destruction and entrepreneurial innovation. While challenges await, these shifts also herald opportunities for growth, adaptation, and global advancement. The future landscape will be shaped by those who embrace change and harness the power of innovation.

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Compiled for ENT 211 Lecture Module Five Part B

by: David O. Ayeni (2024/2025 Academic Session ENT Coordinator)
6th February, 2025

Paper 7 of 9 — Cyssa hub200 lvl materialsENT 211ENT 211 MODULE 6.pdf

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LECTURE MODULE SIX

Entrepreneurship in Nigeria (Biography of Inspiration Entrepreneur, Entrepreneurship Support Institution, Youth Enterprise Networks, and Environmental and Cultural Barrier to Entrepreneurship)

Entrepreneurship development in Nigeria?

The origins of entrepreneurship in Nigeria can be traced back to the pre-colonial era. During this time, trade was the dominant economic activity, and entrepreneurs played a vital role in facilitating commerce between different communities and regions. These entrepreneurs were known as middlemen and were responsible for buying goods from one location and selling them in another. They created a network of trade that spanned the entire country, contributing to the growth and development of the Nigerian economy.

The arrival of colonialism in Nigeria led to a new dimension in entrepreneurship. The British colonial government introduced a cash economy, which created opportunities for entrepreneurs who focused on importing and exporting goods. These entrepreneurs took advantage of Nigeria's vast natural resources, exporting commodities such as palm oil, groundnuts, and cocoa. The cash economy also led to the emergence of a new class of entrepreneurs who operated in the formal sector of the economy. These entrepreneurs set up businesses in various sectors, including manufacturing, transportation, and services.

Nigeria's entrepreneurial landscape is as diverse as it is dynamic. It is characterized by a mix of traditional businesses and innovative startups, spanning sectors from agriculture to fintech. The country's large population and growing middle class present a vast market for these businesses. However, the landscape is not without its challenges. Infrastructure deficits, regulatory complexities, and limited access to capital often pose hurdles for entrepreneurs. Yet, these challenges are also driving innovation, with entrepreneurs finding unique solutions to local problems.

The entrepreneurial spirit in Nigeria is further fueled by a cultural shift. More Nigerians are embracing entrepreneurship as a viable career path, driven by the desire for economic independence and the opportunity to make a difference. This shift is transforming the entrepreneurial landscape, paving the way for a new generation of Nigerian businesses.

Entrepreneurship in the post-independent Nigeria

Many sectors of the Nigerian business system were highly restricted and regulated by government from the period of independence until late 1990s. During this era, private participation in core sectors of the economy such as banking, telecommunication, air transportation, television and radio broadcasting etc. were greatly limited and strictly controlled. Today, however, government

has deregulated and opened up the economy for more involvement, participation and investment by private entrepreneurs. In addition, since independence, present and past governments have initiated many schemes and programmes aimed at encouraging entrepreneurship development in the country. Onah (2004) summarized the programmes and schemes as follows;

- a. The Small-Scale Industries Scheme (SCIS) of 1970s.
- b. The Nigeria Bank for Commerce and Industry (NBCL) Loan scheme
- c. The special fund for small scale enterprises loan scheme of 1980
- d. The National Economic Reconstruction Fund (SMEIS) 2001 to date.
- e. Small and Medium Equity Investment Scheme (SMEIS) 2010 to date
- f. The Small and Medium Enterprises Development Agency of Nigeria.

In addition, there are other agencies which are establish to encourage entrepreneurship development in Nigeria, they include the Bank of Industry (BOI), National Directorate for Employment (NDE), National Agency for Poverty Eradication Programme (NAPEP), National Economic Empowerment Development Strategies (NEEDS) etc. with all these schemes, much has been achieved. The purpose is to promote the expansion of the economy through a free enterprise system in which businesses are organized, owned, operated, and controlled by private individuals who have the right to a profit (or must suffer the loss) from operations.

Key drivers of entrepreneurship in Nigeria

Several factors are driving the rise and development of entrepreneurship in Nigeria. Some of these factors include:

- Youthful demographic driving innovation
- Role of entrepreneurship in job creation
- Digital revolution and increased internet penetration
- Cultural shift towards entrepreneurship
- Success stories of Nigerian startups attracting attention

Challenges of entrepreneurship development in Nigeria

A number of challenges have been identified to be facing entrepreneurship development in Nigeria. Some major of these challenges includes:

- Poor Government Infrastructure
- Multiple Taxation
- Inadequate capital
- Incompetent management
- Unfavorable government Policy
- Lack of access to credit facilities and technology
- Skill Acquisition

Ndubuisi (2004) stated that apart from the known problems that have been earlier, other challenges include the following;

- i. Arbitrary changes in the administration of law by the government which spreads the element of uncertainty among the entrepreneurs.
- ii. Lack of insufficient infrastructure and high cost of production.
- iii. Market imperfections, which deny potential entrepreneurs the resources, they need for organizing new entrepreneurs.
- iv. High risk involved in new enterprise.
- v. Law status of business in the eyes of the public and
- vi. Restrictive effects of customs and traditions.

Despite these challenges, many have found success. The entrepreneurial spirit in Nigeria remains strong. The country's entrepreneurs are not just surviving, they are thriving, creating innovative solutions to local problems and contributing to the nation's economic development.

Today, entrepreneurship is a thriving sector of the Nigerian economy, with a growing number of startups and SMEs contributing to economic growth and development. The government continues to introduce policies aimed at promoting entrepreneurship and creating a conducive environment for businesses to thrive. The Nigerian government launched the National Entrepreneurship Policy in 2015, which aims to create an enabling environment for entrepreneurship to thrive. The policy seeks to promote entrepreneurship education, access to finance, innovation, and technology.

Biography of successful entrepreneurs in Nigeria

Nigeria is not only blessed with abundant natural resources, but also with abundance of human resources from different regions/parts of the country. These great personalities have made significant/remarkable achievements in business over the years

1. Aliko Dangote.



With a net worth of over \$12billion in 2018, Aliko Dangote is the richest man in Nigeria and entire Africa. Born on the 10th of April 1957, Aliko Dangote is the owner of the 'Dangote Group,' the largest cement and sugar producer in Africa. Presently, his company dominates the markets in countries such as Benin, Ethiopia, Cameroon, South Africa, and Ghana among others. The

Dangote Group controls about 70% of the current Nigerian sugar market and operates as the third-largest sugar refinery in the world and the largest in Africa.

2. Mike Adenuga Jr.



Michael Adeniyi Adenuga (born 29th of April 1953) is a Nigerian billionaire businessman and the second richest man in Nigeria. According to the recently released Forbes list in 2018, Mike Adenuga's net worth as of 11th March 2018 was estimated to be \$4.2 billion and he is the third richest person in Africa. Adenuga, Nigeria's second richest man, built his fortune in telecom and oil production. His mobile phone network, Globacom, is the second largest operator in Nigeria, with 37 million subscribers. His oil exploration outfit, Conoil Production, operates 6 oil blocks in the Niger Delta.

3. Femi Otedola.



Femi Otedola (born November 4, 1962) is a Nigerian businessman, entrepreneur, philanthropist, and chairman of Forte Oil Plc, an importer of fuel products. Femi Otedola is the son of the former Lagos State Governor, Michael Otedola. According to Forbes, his net-worth in 2016 was estimated to be \$1.8 billion. Otedola is also the founder of Zenon Petroleum and Gas Ltd, and the owner of a number of other businesses across shipping, real estate, and finance. He has recently invested in power generation as part of the liberalization of the sector in Nigeria.

4. Folorunso Alakija.

Folorunso Alakija (born 15 of July 1951) is a Nigerian billionaire businesswoman, one of the richest African women, and one of the richest black women in the world. In 2014, she temporarily unseated Oprah Winfrey as the richest woman of African descent in the world. According to Forbes, her net-worth as of 11th March 2018 was estimated to be \$1.7 billion. Folorunsho Alakija is vice chair of Fanfa Oil, a Nigerian oil exploration company with a stake in Agbami Oilfield, a prolific offshore asset. Famfa Oil's partners include Chevron and Petrobras. Alakija's first company was a fashion label whose customers included the wife of former Nigerian president Ibrahim Babangida.

5. Abdul Samad Rabi.

Abdul Samad Isyaku Rabi (born 4 August 1960) is a Nigerian businessman and the founder of BUA Group, a Nigerian conglomerate active in sugar refining, cement production, real estate, logistics, and port operations. According to Forbes, his net-worth in 2016 was estimated to be \$1.1 billion. In January 2016, BUA Group agreed to sell its flour milling and pasta making businesses to Olam Group of Singapore for \$275 million. Rabi, the son of a businessman, inherited land from his father. He started his own business in 1988. importing rice, sugar and edible oils as well as iron and steel rods.

6. Tony Elumelu.

Tony Onyemaechi Elumelu (born 22 March 1963) is a Nigerian economist, entrepreneur, and philanthropist. He is the chairman of Heirs Holdings, the United Bank for Africa, Transcorp and founder of The Tony Elumelu Foundation. According to Forbes, his net-worth in 2015 was estimated to be \$0.7 billion. Tony Elumelu came into the limelight in 1997 when he led a small group of investors to take over a small, floundering commercial bank in Lagos. He was recognized as one of “Africa’s 20 Most successful entrepreneurs

7. Orji Uzor Kalu.

Orji Uzor Kalu (born April 21, 1960) is the chairman of SLOK Holding and the former governor of Abia State. His other investments include the Daily Sun and the New Telegraph newspapers. According to Forbes, his net-worth in 2015 was estimated to be \$330 million. Orji Uzor Kalu’s Slok Holding is a West African conglomerate with interests in shipping, banking, oil trading, manufacturing, and the media. He got his start in business at age 19.

8. Jim Ovia.

Jim James Ovia (born November 4, 1951) is a Nigerian businessman and founder of Zenith Bank one of the largest commercial banks in Nigeria. He is the chairman and largest individual shareholder with a stake of slightly more than 9% stake. According to Forbes, his net-worth in 2015 was estimated to be \$550 million. He also owns prime real estate across Nigeria, and mobile telecom operator Visafone Communications Limited which has since been acquired by MTN.

Some young entrepreneurs in Nigeria to look out for in 2025

Tara Fela-Durotoye



A prominent entrepreneur who started the cosmetics brand, House of Tara. Her story is an inspiration to many aspiring female entrepreneurs.

Tiwalola Olanubi Jnr.



Tiwalola Olanubi is the founder of Dotts Media House, one of Africa's leading digital marketing agencies. Being enthusiastic about youth development and entrepreneurship, he quotes: "The best thing that can happen to any entrepreneur is to start chasing their dreams as early as possible. My advice is to start early as soon as that idea gets into your mind." Tiwalola is a part of numerous CSR projects such as Leap Africa's Youth Day of Service and among others. He is also the founder of Zarafet Loaves, a Lagos-based bread bakery, and Trendupp Africa.

Silas Adekunle



Silas Adekunle is the co-founder and CEO of R.I. a data platform for industrial automation and IOT. He is graduated as an Honorary Degree of Doctor of Technology from the University of the West of England, Bristol. "Coming up with an idea, presenting it to people and getting them to say "yeah we believe in this" was nothing but entrepreneurship." Silas is also co-founder and CEO of Awarri, a company focused on enabling robotics and AI in Africa, starting with education.

Uche Pedro



Uche Pedro is the founder and CEO of Bella Naija, a media company known for creation of content in the lifestyle and entertainment domain. She earned a degree as the Masters in Public Administration from the Harvard Kennedy School. Being passionate about her nurturing the youth of her community, she founded the #BNDogood, an initiative that supports numerous non-profit organisations such as LEAP Africa, Slum2School, Django Girls, among other. "Cut out the noise, focus on doing the right thing, making an impact on opening doors for others to come"

Oluwaseun



Seun is the best graduating student of law in her set and a growing entrepreneur that deal in fabrics. She has a remarkable history of graduating as the best graduating student in primary school, secondary school, and the University. She was the 2nd best graduating student overall in Faculty of Law, Adekunle Ajasin University, while being a full-time entrepreneur. In her words, "I combined law with business and I still graduated as one of the best"

Who is next? You?

Entrepreneurship Support Institution in Nigeria

Are different institutions or organizations that supports the growth and development of entrepreneurship in Nigeria. entrepreneurship development in Nigeria. They include government agencies, associations, and microfinance institutions.

Government agencies

- Small and Medium Enterprises Development Agency of Nigeria (SMEDAN): Promotes and develops small and medium enterprises (SMEs)
- Nigerian Export Promotion Council (NEPC): Promotes the development and diversification of exports in Nigeria
- National Digital Innovation and Entrepreneurship Council (NDIEC): Aligns national policies for startup development and supports tech-enabled startups
- Central Bank of Nigeria (CBN): Provides financial support and inclusiveness

Associations

- Manufacturer Association of Nigeria (MAN): Supports entrepreneurship
- National Association of Small and Medium Enterprises (NASME): Supports entrepreneurship
- Nigerian Association of Chambers of Commerce, Industry, Mines, and Agriculture (NACCIMA): Supports entrepreneurship

Microfinance institutions

- Micro Finance Institutions (MFIS): Support entrepreneurship

Other institutions

- Small and Medium Enterprises Equity Investment Scheme (SMEEIS): Supports entrepreneurial financing
- Bank of Industry (BOI): Supports entrepreneurial financing and the Youth Entrepreneurship Support Program (YES-P)

Youth Enterprise Networks

Youth enterprise networks are platforms that connect the youth and young entrepreneurs in a bid to foster and further develop entrepreneurship spirit/mind set. This network connects people with entrepreneurship programs and resources. They can help young people start businesses and address challenges like poverty and unemployment. In Nigeria, Youth Entrepreneurship Network is a platform which serves as a strategic part of the Youth Entrepreneurship Strategy in Nigeria.

The enterprise networks are interventions in a way, that are intended to all create the basis of a sustainable network of youth entrepreneurs which will help to coordinate the efforts of existing youth entrepreneurship organizations. In this context, the sectors supported by this project are categorized under the following categories: community development, economic empowerment and gender equality.

Examples of youth enterprise networks

- Nigeria Youth Entrepreneurship Network (NYENET)**
A public-private partnership that connects young people and women with entrepreneurship programs. NYENET also helps members apply for programs online.
- Youth Entrepreneurship and Innovation Multi-Donor Trust Fund**
A fund that supports African youth-led startups and micro, small, and medium enterprises. The fund's goals include increasing youth employment and access to finance.
- Youth Entrepreneurship Policy Academy (YEPA)**
A network that connects policymakers, young entrepreneurs, and experts to share knowledge about youth entrepreneurship.
- Youth Business International (YBI)**

An organization that works with the Global Entrepreneurship Network to publish the Youth Entrepreneurship Policy Framework.

v. **Youths Enterprise Development and Innovation Society (YEDIS)**

An organization that participates in events like the Nigerian Civil Society Consultative Forum on the Summit of the Future.

Environmental and Cultural Barrier to Entrepreneurship in Nigeria

No doubt, there is an intricate interplay between culture and entrepreneurship anywhere in the world. In Nigeria, cultural dynamics deeply shape entrepreneurial endeavors. Indigenous values and traditions profoundly influence business strategies and decision-making processes. The communal ethos prevalent in Nigerian culture fosters collaborative entrepreneurship, where community bonds contribute to business success.

Traditional beliefs also impact the perception of risk and innovation, affecting the entrepreneurial mindset. Moreover, the rich tapestry of Nigerian cultures influences business etiquette, negotiation styles, and relationship-building crucial for entrepreneurial ventures. Understanding these cultural nuances is pivotal for entrepreneurs navigating the diverse landscape of Nigeria.

Overview of Nigerian Culture

Nigeria is a country with a vibrant and diverse cultural heritage. It is home to over 250 ethnic groups, each with its unique customs and traditions. The Nigerian culture is a blend of various influences, including indigenous, colonial, and foreign. The cultural richness of Nigeria is evident in its art, music, dance, and folklore. Traditional Nigerian attire, such as the colorful Ankara fabrics and Buba outfits, showcase the country's cultural pride.

The Diverse Ethnic Groups and Languages in Nigeria

Nigeria is often referred to as the "Giant of Africa" due to its population and ethnic diversity. There are three major ethnic groups in Nigeria: the Hausa-Fulani, Yoruba, and Igbo. Each ethnic group has its distinct language, customs, and traditions. There are also numerous minority ethnic groups, such as the Ijaw, Kanuri, Tiv, and Edo. This ethnic diversity adds richness to Nigeria's cultural landscape and fosters a sense of unity in diversity.

The Importance of Cultural Values and Traditions

Cultural values and traditions play a significant role in shaping Nigerian society and entrepreneurship.

- i. Respect for elders, communal living, and hospitality are core values deeply embedded in the Nigerian culture.
- ii. The strong sense of community and family support are essential foundations for entrepreneurship.
- iii. Traditional rites of passage, such as naming ceremonies and weddings, promote social cohesion and networking.

- iv. Entrepreneurs often leverage cultural traditions and values to build trust and establish business relationships.

Nigerian entrepreneurship thrives within the vibrant tapestry of the country's rich cultural heritage. With numerous ethnic groups and languages, the business landscape is uniquely diverse. Entrepreneurs must adeptly navigate cultural nuances, molding strategies to fit the varied contexts. Cultural values, like respect and hospitality, significantly impact entrepreneurial ventures.

Building on relationships and networking is pivotal, with successful entrepreneurs emphasizing trust, rooted in cultural authenticity. Traditional festivals and market gatherings offer platforms for showcasing products, stimulating economic growth. Industries like fashion, music, and film flourish, aligning with Nigeria's cultural expressions. Nollywood, the second-largest film industry globally, exemplifies this synergy. Understanding and appreciating this cultural mosaic is crucial for entrepreneurs, shaping business strategies and fostering connections with diverse audiences.

In essence, the influence of culture on Nigerian entrepreneurship is undeniable. Embracing this cultural richness unlocks opportunities, paving the way for sustainable success in the dynamic Nigerian market.

Challenges Faced by Entrepreneurs due to Cultural Factors

- i. Lack of access to capital, as cultural practices often prioritize communal needs over individual aspirations.
- ii. The preference for stability and security hampers risk-taking behavior among entrepreneurs.
- iii. Hierarchical societal structure hinders entrepreneurship by discouraging social mobility and innovation.
- iv. The culture of relying on family connections and nepotism limits opportunities for new entrepreneurs.
- v. Cultural norms regarding age and seniority can undermine the confidence and authority of young entrepreneurs.
- vi. The emphasis on collectivism often discourages individualistic pursuits like entrepreneurship.
- vii. Negative perception and stigma attached to failure inhibits entrepreneurial initiatives in Nigeria.
- viii. Resistance to change and adherence to traditional practices hinder entrepreneurial growth in Nigeria.
- ix. A high-power distance culture discourages questioning authority and creative problem-solving, inhibiting entrepreneurial development.

Influence of Religious Beliefs in Limiting Entrepreneurial Endeavors

- i. Religious beliefs, such as the emphasis on modesty and contentment, discourage material pursuits associated with entrepreneurship.

- ii. The perception of wealth accumulation as sinful can limit the motivation to venture into entrepreneurial activities.
- iii. Religious norms may prioritize charity and philanthropy over individual economic success.
- iv. Frequent religious obligations and rituals can divert time and energy away from business activities.
- v. Religious restrictions on certain industries or practices can hinder entrepreneurial opportunities.
- vi. Cultural norms can influence the division of labor and limit women's access to entrepreneurship due to religious beliefs.
- vii. Religious conservatism can resist new ideas and innovation, hindering entrepreneurial ventures in Nigeria.
- viii. Religious restrictions on interest-based financial systems can pose challenges for entrepreneurs seeking capital.
- ix. The influence of religious authorities can discourage risk-taking and experimentation necessary for entrepreneurial success.

Impact of Gender Roles on Women Entrepreneurs

- i. Cultural expectations for women to prioritize family responsibilities limit their involvement in entrepreneurial activities.
- ii. Gender discrimination and biases in accessing capital and resources restrict women's entrepreneurial success.
- iii. Social stigmatization and traditional beliefs often undermine the confidence and self-esteem of women entrepreneurs.
- iv. Cultural norms regarding women's mobility and interactions hinder networking opportunities critical for entrepreneurial growth.
- v. The burden of household chores and childcare responsibilities limits the time and energy women can dedicate to their businesses.
- vi. The prevalence of gender-based violence and harassment can deter women from pursuing entrepreneurial endeavors in Nigeria.
- vii. Gender stereotypes and biases perpetuate societal expectations that women are not suitable for leadership roles in business.
- viii. Limited access to education and training opportunities further marginalizes women in the entrepreneurial sphere.
- ix. Lack of mentorship and role models hampers the growth and development of women entrepreneurs in Nigeria.
- x. Gender pay gaps and inequitable economic opportunities pose significant barriers for women venturing into entrepreneurship.

In fact, cultural factors in Nigeria contribute to significant barriers to entrepreneurship. These barriers include limited access to capital, hierarchical societal structures, cultural norms and practices, religious beliefs, and gender roles. Recognizing and addressing these barriers is crucial for fostering a more inclusive and supportive environment for entrepreneurs in Nigeria.

Government Initiatives and Cultural Entrepreneurship in Nigeria

Government Policies and Programs

The Nigerian government has implemented various policies and programs to foster cultural entrepreneurship. These initiatives aim to provide support and create an enabling environment for individuals and organizations engaged in cultural entrepreneurship. For instance, the government has established the National Council for Arts and Culture (NCAC), which is responsible for promoting and developing cultural entrepreneurship in Nigeria. The NCAC provides financial assistance, grants, and loans to cultural entrepreneurs to start and expand their businesses.

Additionally, the Nigerian government has implemented tax incentives and exemptions for cultural entrepreneurs. These measures aim to reduce the financial burden on cultural entrepreneurs, enabling them to invest more in their businesses. Moreover, the government has created incubation centers and innovation hubs across the country. These centers provide resources, mentorship, and training to cultural entrepreneurs, helping them enhance their skills and develop sustainable business models.

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Compiled for ENT 211 Lecture Module Four

by: David O. Ayeni (2024/2025 Academic Session ENT Coordinator)

7th February, 2025

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LECTURE MODULE EIGHT

Enterprise Formation, Partnership and Networking (Basics of joint ventures)

Meaning of an Enterprise

WHAT IS AN ENTERPRISE?



Enterprise refers to a for-profit business that produces services or products. It is started and run by an entrepreneur.

An enterprise is engaged in the trade of goods, services or both to customers. It has certain *resources* to achieve its goal: *people, money, materials, space and time*. The resources used are known as “*inputs*” and the products generated are known as “*outputs*”.

Some examples of enterprise are *Ford, Microsoft or Walmart*.

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PLANET

- An enterprise is a business plan, or project, especially one that is difficult or that may fail or lose money.
- An organization, especially a business or a difficult and important plan, such as one that earns money
- A firm, business, or corporation

Enterprise Formation

The process of setting up or establishing a business. Businesses, whether small or great, don't exist until they are commenced particularly by entrepreneurs who are creative and innovative. It entails identifying opportunities, deciding/ascertaining the structure of the business, and registering the business.

Advancement in knowledge and in business research has refined the way enterprises are set up. More so, the process of setting up an enterprise will depend largely on the type of enterprise. According to Bozward (2024) there are 9 Stages/processes of enterprise creation, that is based on entrepreneurial mindset and the business community ecosystem.

Stage 1 – Discovery

Entrepreneurs identify and evaluate potential new business opportunities. This requires research, exploration, and understanding of current needs, demands, and trends from consumers and others.

Stage 2 – Modeling

This is split into three parts and starts by setting out a Strategy, formulating a business model and setting the business processes to achieve the strategy. The model should be underpinned by the resources available and those which may still need to be secured.

Stage 3 – Startup

Once the resources detailed in the business plan are mobilized the entrepreneurial process can be activated and implementation can take place. In this stage the business may be trading or begin to research or develop a product.

Stage 4 – Existence

At this stage the business has two core focuses; to gain enough customers to create a profitable business and, at the same time establishing production or product quality. The majority of businesses fail at this stage due, in part, to either one or both of these factors.

Stage 5 – Survival

At this stage the business should be a viable entity in terms of cash flow and resources, it has enough customers and satisfies them sufficiently with its products or services to gain repeat sales.

Stage 6 – Success

Entrepreneurs at this point capitalize on the company's accomplishments, expand or, keep the company stable and profitable.

Stage 7 – Adaptation

Businesses which reach this stage normally have a number of factors pushing them to adapt, these are normally grounded in changes either to the micro or macro environments.

Stage 8 – Independence

A business at this stage should now have the advantages of size, financial resources, market share and managerial talent. Innovation and Intrapreneurship are now key factors in keeping the business in market position.

Stage 9 – Exit

The last of the Enterprise Creation stages is focused on exiting the business and making their separation permanent. An exit strategy will give the entrepreneur a way to reduce or eliminate their stake in the business and, if the business is successful, make a substantial profit. The organization at this stage is generally profitable, has a definable set of resources with a clear and realistic strategy to continue. The CEO and founder(s) are separate.

Types of business enterprise

There are different types of businesses to choose from when forming a company, each with its own legal structure and rules. Typically, there are four main types of businesses:

- Sole Proprietorship – owned and managed by a single person
- Partnerships – owned and managed by 2 or more individuals
- Limited Liability company – has is a separate legal entity in which the liability of owners are limited either by share or guarantee.
- Corporation – majorly government's own establishments that provide essential services

Before establishing/creating a business, entrepreneurs should carefully consider which type of business structure is best suited to their enterprise, as each of the listed type of business.

Partnership and Networking

Networking and building strategic partnerships are essential elements of success in today's business world.

- Networking is about building a wide range of connections.
- Strategic partnerships take it a step further. A strategic alliance is a mutually beneficial collaboration between two or more entities to achieve a shared goal. This is the basis for establishing a joint venture.

A joint venture

A joint venture is a cooperative business venture where two or more entities combine their resources and capabilities to achieve a specific goal. These entities, often separate companies, form a new entity or collaborate without creating a new legal entity.

Joint ventures can take various forms, each catering to specific business needs and objectives.

Types of joint ventures (JV)

There are four main types of JV. They are mentioned below:

- Project-based joint venture
- Vertical Joint Venture
- Horizontal Joint Venture
- Functional-based Joint Venture

Project-Based Joint Venture

Under this the partners come together to accomplish a fixed task. Since these collaborations are usually done for an exclusive purpose, they stand cancelled once the project is accomplished. These joint ventures exist for a particular task, project, or time span.

Function-Based Joint Venture

In this, parties form an agreement to mutually benefit from the arrangement. This agreement is in order that they gain from each other's expertise in different areas. This enables them to work efficiently and effectively. Before entering an agreement, the would-be partner companies ascertain whether they will be able to function and perform efficiently together or not.

Vertical Joint Venture

In this type of joint ventures, the transaction is between the buyers and the suppliers. Not an economically viable option, it is termed bilateral trading. In such a joint ventures, different manufacturing stages of a single product are integrated to create economies of scale that reduce the per-unit cost of the finished product. Usually, this category of joint venture proves to be very successful. The relationship between the buyer and supplier also remains good. The business prospers, and quality products reach consumers at a reasonable price.

Horizontal Joint Venture

In this venture, companies dealing in/ selling similar products and direct competitors in the market join hands to create an output that can be reached to customers of either party. In this JV, disputes often arise because both companies are dealing in identical/ similar businesses. The parties also face opportunistic behavior from each other. The gains from this alliance are shared according to the agreement by the parties. Such ventures are not very satisfying as, despite the cooperation, a feeling of resentment stays.

Advantages of a Joint Venture

Companies enter into a joint venture to combine their expertise and resources, thus reaping gains from this new partnership. It is to be understood that no venture is without risk. The advantages of a joint venture are mentioned below:

- A joint venture, if managed efficiently, helps the partners to grow
- It results in increased productivity
- Rise in profits
- The partners can utilize each other's distribution networks and access new markets
- Increase in production capacity
- Avail of new knowledge and expertise
- Efficient and specialized staff
- Access to each other's resources like finance and technology
- Growth without the need to borrow outside funds or scout for investors
- In a joint venture the parties can use the partner's customer database for marketing products

- Invest together in development and research
- A joint venture is very flexible
- It has a limited lifespan and covers a part of what you do. This limits the commitment of all the parties
- Joint ventures are very popular with businesses operating overseas.

Disadvantages of Joint Venture

There are significant risks relating to liabilities, possible conflicts, and disputes between the partners. Reasons for this can be:

- Unclear objectives of the venture
- Lack of communication between the partners
- Expectation also not met
- Discrepancies in the level of expertise and investment of either party
- Unequal distribution of work and resources
- Lack of cooperation due to different cultures and management
- Lack of leadership and support
- Conflict between the workers

Reasons to form a Joint Venture

There are four main reasons to form a joint venture:

- **Leverage Resources**

A joint venture is an advantage since it can avail of the combined resources of all partners to achieve the target. One partner might possess the expertise, while another has a well-established manufacturing unit. Some have good distribution channels, while others include a very efficient and motivated workforce. Channeling all these together can help achieve excellent results.

- **Cost-Saving**

Today, with the costly implementation of technical advances, joint ventures can apply economies of scale and increase their production at a lower cost than if they were working separately. Cost savings can also be made in advertising and labour costs.

- **Combined Expertise**

The companies can combine their expertise and gain from the other partner's talent within their company.

- **Enter Foreign Markets**

Companies also use joint ventures to enter a foreign market by partnering with a local business of the said country. Companies that desire to spread their distribution networks in foreign lands can enter a Joint Venture agreement to supply goods to a local business in that country.

Selected References for Further Reading

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Compiled for ENT 211 Lecture Module Eight

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14th February, 2025

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